The Political Economy of Neoliberal Narratives*

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Abstract

This paper develops a canonical approach to incorporating narratives into standard models of political competition. Politicians supply narratives to win elections, and voters demand narratives that suit their interests, based on motivated reasoning. We apply this framework to study the rise of neoliberal narratives that emphasise the trickle-down benefits of deregulation. We provide insights into why neoliberalism gained traction following the 1970s oil shocks, and how it evolved into a new consensus narrative, sometimes called the Third Way. Our framework shows how temporary economic shocks can lead to a narrative dynamic that permanently alters policy choices.

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1 Introduction

Narratives that are used for interpreting how the world works have long been seen as crucial for shaping policy debates. Discussions of economic policy problems are frequently communicated to citizens via narratives in order to influence their voting behavior and thereby to affect policy choices. Yet, until recently, policy narratives were largely ignored by theoretical frameworks in political economy despite increasing interest in their role among economists (e.g., Shiller, 2017).

This paper develops a canonical approach for bringing narratives into standard models of political competition (e.g., Downs, 1957; Persson and Tabellini, 2002), following an emerging literature that models narratives as subjective causal models (e.g., Eliaz and Spiegler, 2020; Levy et al., 2022; Brzezinski, 2023). In our framework, voters demand narratives to make sense of the world and to inform their policy preferences. They look at the set of available narratives, adopting the one that they find most appealing, based on motivated reasoning. Politicians supply narratives in political campaigns, communicating them strategically to influence how voters behave in order to gain an electoral advantage. The set of narratives that voters adopt influences which policy platforms are ex-post credible. In political equilibrium, politicians will deploy new narratives only if they lead to policy convictions that improve their electoral chances.

Our framework allows us to explore a new dimension of policy disagreement driven by narrative polarization, where groups of citizens endogenously choose competing causal models of how policy affects economic outcomes. This enriches political disagreement beyond standard economic interests and allows us to capture Keynes' famous view expressed in the concluding paragraph of his General Theory of Employment, Interest, and Money (Keynes, 1936) that "the power of vested interests is vastly exaggerated compared with the gradual encroachment of ideas... sooner or later, it is ideas, not vested interests, which are dangerous for good or evil." And it chimes with the views of narrative psychologists that the human mind absorbs narratives to supplement logic and evidence-based thinking (e.g., Johnson et al., 2020).

To illustrate the utility of the framework, we employ it to explore the rise of a particular policy narrative, often referred to as *neoliberalism*, a worldview that emphasises the virtues of free markets. Neoliberalism is now often used as a pejorative term, though it did not originate as such; indeed, some of its leading proponents proudly self-identified as neoliberals (Burgin, 2012). Among these was Milton Friedman, who wrote that "neo-liberalism offers a real hope of a better future, a hope that is already a strong cross-current of opinion and that is capable of capturing the enthusiasm of men of good-will everywhere, and thereby becoming the major current of opinion" (Friedman, 1951, p. 4). A contemporaneous example

of self-identification with neoliberalism is the Adam Smith Institute in the UK, which in 2016 started to use the term to describe its policy views.[1]

In this paper, we refrain from taking a normative stance for or against policies referred to as neoliberal. Instead, we analyse the conditions under which neoliberal narratives thrive.[2] This, we argue, depends on two factors: whether neoliberal narratives are demanded by voters, and whether they are supplied by parties. On the demand-side, neoliberal narratives will only be popular if they give hope of a better future to (some) voters, as suggested in the quote by Friedman above. On the supply side, neoliberal narratives will be deployed by parties if that leads to an electoral advantage, which only happens under specific conditions.

In order to investigate the political success of neoliberalism, our framework gives a precise definition of the term. Specifically, neoliberal narratives are causal policy models with two key features: (i) they highlight the *trickle-down* benefits of policies which harm poorer individuals, arguing that losses will be more than offset by gains accruing from a larger size of the economy; and (ii) they question the ability of government to produce public goods efficiently.

The intellectual history of neoliberal thought stretches back to von Mises, Hayek, and other Austrian economists, amidst the fall of the Austro-Hungarian empire after WWI (Slobodian, 2018; Burgin, 2012). They became common currency with the rise of the Chicago School, notably under the influence of Milton Friedman. Yet, for the most part, these ideas remained on the fringe of policy thinking, until they became influential following the oil crises of the 1970s and the subsequent rise to power of Margaret Thatcher and Ronald Reagan (Stedman Jones, 2014).

Neoliberalism fractured a policy consensus that had emerged following the Great Depression and World War II, one that argued for a wider role for government in the form of demand management and regulation of markets. This *post-war consensus* travels under a variety of names. In the US, Gerstle (2022) refers to it as "the New Deal Order". In the UK, it is associated with the term "Butskellism", coined by *The Economist* magazine in 1954 to describe the convergence of views across the Labour and Conservative parties (see Harrison, 1999). Under this consensus, policies of parties from the left and right frequently resembled each other. In the US, Eisenhower, a Republican president, embraced most of the policy platforms of Franklin D. Roosevelt. In the UK, the Conservative party switched to supporting the National Health Service in the same time period. While there were dissenters in both cases, policy continuity remained the norm as adminstrations turned over.

[1] See `https://www.adamsmith.org/blog/coming-out-as-neoliberals`.

[2] A related paper is Bénabou (2008), which offers a model of different possible ideologies about the scope of state intervention versus free markets.

That the rise of Margaret Thatcher and Ronald Reagan came with new policy narratives is hard to dispute. An iconic example of the shift in emphasis can be found in Ronald Reagan's inaugural address in 1981 (Reagan, 1981):

> We invented the assembly line and mass production, but punitive tax policies and excessive and unnecessary regulations plus government borrowing have stifled our ability to update plant and equipment. When capital investment is made, it's too often for some unproductive alterations demanded by government to meet various of its regulations.

Reagan's shift away from interventionism was a clear departure from views that had dominated policy-thinking in preceding decades. Moreover, the associated policies gained support from voters with both Reagan and Thatcher going on to be re-elected, in the latter case twice. Neoliberalism also fared well elsewhere in the same time period and the "Washington Consensus" became an established blueprint for policy reforms around the world.

Policy changes such as the shift away from the post-war consensus towards neoliberalism do not come out of thin air; in democracies they are the product of a competitive political process. In standard models of political competition where voters are assumed to have a common understanding of how the economy works, policy shifts are caused by new evidence or a change in economic interests. As such approaches assume away the possibility that citizens have different beliefs about how policies work, they also cannot explain polarization in beliefs of the kind that dominated politics in the US and UK in the 1980s.

In contrast to this standard approach, our framework allows citizens to *choose* among competing narratives that combine causal parameters across the different dimensions in which policy affects outcomes into a coherent world view. Citizens choose the narratives that maximise their expected utility, a process of motivated reasoning that can be thought of as occurring subconsciously. Put simply, citizens believe things because they are convenient rather than because they are evidence-based, an idea that has long been accepted by psychologists (see Kunda, 1990), but is relatively new in economic theory (see Bénabou, 2015; Bénabou and Tirole, 2016). This approach allows us to investigate situations where citizens disagree because of the subjective causal model that they use rather than because of differences in evidence. In our application to neoliberalism, this approach can shed light on why some groups of citizens were convinced of the neoliberal approach while others were not, how this led to polarization in the policies of parties, and why a new cross-party consensus around the merits of deregulation eventually formed.

Beyond shedding light on the rise of neoliberalism, our framework offers some more general insights into how narratives shape policy. A central take-away is that temporary economic shocks can lead to a narrative dynamic that permanently shifts policy equilibria. This is because economic shocks can incentivize

parties to deploy new narratives that otherwise would not have been electorally advantageous. These narratives become part of the public discourse, preventing the return to a previous policy equilibrium, even after the economy recovers. We also show that "dominated" narratives, that are unanimously less preferred to another narrative, can become part of a political equilibrium. Parties may find it optimal to supply dominated narratives precisely because these will be believed by some, but not all, citizens. Such narrative polarization feeds into policy polarization, giving one party a temporary electoral advantage, until another party deploys a narrative that leads to a new consensus. Our framework shows why polarizing narratives that give one party an electoral advantage, and consensus narratives which eliminate that advantage, can alternate dynamically.

Our model builds on an emerging literature in political economy that investigates competition in narratives.[3] There is now an established convention in economic theory of defining narratives as subjective causal models.[4] However, the way in which competition in narratives is modelled, and how narratives are assumed to relate to available data, varies widely. For example, Eliaz and Spiegler (2020) assume that narratives may incorrectly specify the causal chain between variables, but that, conditional on that causal chain, beliefs are assumed to fit available data (see also Eliaz et al., 2022). Schwartzstein and Sunderam (2021) posit that the most persuasive causal models are those that most closely fit the data to be explained, an idea also taken up by Aina (2023). And Levy et al. (2022) develop a model where voters have exogenously given narratives, some of which are incorrect; conditional on these narratives, voters update beliefs consistently with the available data.

In our framework, motivated reasoning rather than data disciplines the narratives that voters adopt. Such reasoning is a well-established idea in psychology (Kunda, 1990; Haidt, 2012; Van der Linden, 2023) and has been adopted in formal models in political economy (Bénabou, 2008, 2015; Brzezinski, 2023; Little, 2019). The idea of motivated reasoning connects to an older tradition in economic theory that questions Bayesian belief formation (see Ortoleva, 2022, for a recent review). Previous approaches have highlighted the role of emotions against outside groups (Glaeser, 2005; Alesina and Stantcheva, 2020), social networks and group identity (Murphy and Shleifer, 2004; Shayo, 2009; Bonomi et al., 2021), and ideologies (Bénabou, 2008; Izzo et al., 2023).

Although our purpose is to build a theoretical framework, it is closely allied to an emerging empirical literature that investigates narratives and related concepts. Several tools have been developed to analyse text in political speeches (Gentzkow

[3]This literature complements the widespread approach of Bayesian persuasion models (Kamenica and Gentzkow, 2011; Kamenica, 2019).

[4]Note, however, that some papers define narratives differently (e.g. Bénabou et al., 2018).

et al., 2019; Ash et al., 2024). Moreover, there is increasing recognition that beliefs are not solely data-driven, but can be influenced by plot lines in soap operas (La Ferrara et al., 2012), reality shows (Kearney and Levine, 2015), divergent narratives in opinion programs on TV (Bursztyn et al., 2023), videos of immigrant life experience (Alesina et al., 2023), light entertainment broadcasting (Durante et al., 2019), and plays (Hoff et al., 2021).

The remainder of the paper proceeds as follows. Section 2 introduces our core model, which builds on standard approaches in political economy, but introduces the concept of narratives as alternative causal models of how policy affects outcomes. Section 3 solves a static model for a choice between two narratives: the post-war consensus and neoliberalism. Section 4 introduces a wider range of narratives and extends the model dynamically, so that parties can choose whether to propagate new narratives based on the way that they affect their electoral prospects. We summarise our insights and directions for future research in section 5. The Appendix contains the proofs and other supporting material.

2 The Model

2.1 Basics

We begin by outlining the core model that makes precise the content of different political narratives and use it to explore the role of narratives in political competition.

Private incomes and deregulation The economy is modelled following Besley and Persson (2023). There are two types of citizens differentiated by their level of income indexed by $K \in \{L, H\}$, with private pre-tax incomes α^L and α^H, where $\alpha^L < \alpha^H$. The proportion of type L citizens is denoted by μ. There are two policy dimensions, redistribution and regulation, where the latter affects the pre-tax distribution of income. Specifically, there is an income tax $t \in [\underline{t}, \overline{t}]$ which is used to provide public services on an equal per capita basis, denoted by G. The regulation policy is denoted by $x \in [\underline{x}, \overline{x}]$, where higher x corresponds to *de*regulation.

The real income of group K as a function of regulation is

$$y^K(x; \psi, \lambda) = \alpha^K + \lambda^K(x; \psi, \lambda), \tag{1}$$

where

$$\lambda^K(x; \psi, \lambda) = \begin{cases} \lambda x & \text{for } K = H \\ -\psi\lambda x & \text{for } K = L. \end{cases}$$

The rich always get higher income with deregulation while the effect on the poor is the opposite. The parameter $\lambda \geq 0$ measures the importance of deregulation

in shaping incomes, while the parameter $\psi \geq 0$ captures the negative distributive effect on the poor.

Aggregate income is denoted by

$$\begin{aligned} Y(x;\psi,\lambda) &= (1-\mu)\, y^H(x;\psi,\lambda) + \mu y^L(x;\psi,\lambda) \\ &= \alpha + \lambda x(1-\mu-\psi\mu), \end{aligned}$$

where $\alpha \equiv (1-\mu)\,\alpha^H + \mu\alpha^L$. Aggregate income is increasing in x if $\psi < (1-\mu)/\mu$, i.e. if the negative distributive effect is small enough. We call this inequality the *trickle-down condition*; if it holds, then part of the benefits of deregulation to the rich will trickle down in the shape of higher public good provision to the poor.

Public goods and taxation The government finances the public good G via taxes. Total public goods provision satisfies $G = \gamma t Y(x;\psi,\lambda)$ where $\gamma \geq 0$ captures the efficiency and/or valuation of public goods. If γ is low, then the production of public goods is inefficient, either because taxes cannot be collected without a deadweight loss, or because public goods are not highly valued. The opposite is true for high γ.

Individuals receive utility from their private post-tax income as well as the provision of public goods G. Utility for an individual from income group K is given by:

$$u^K(t,x;\psi,\lambda,\gamma) = (1-t)y^K(x;\psi,\lambda) + \gamma t Y(x;\psi,\lambda). \tag{2}$$

Narratives The three causal parameters λ, ψ and γ influence how deregulation x affects utility. Beliefs about these parameters will be endogenously determined through the adoption of policy narratives: subjective causal models that describe how policies influence outcomes.

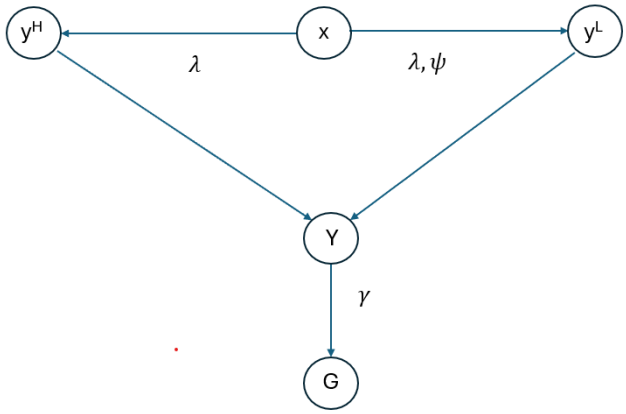
Denote the finite sets of possible causal parameters as: $\lambda \in \Lambda$, $\psi \in \Psi$ and $\gamma \in \Gamma$. A *narrative,* ω, combines these parameters into a subjective causal model, represented as a probability distribution over the set $\mathcal{T} = \Lambda \times \Psi \times \Gamma$. Now let Ω be the set of possible narratives and $P_\omega(\lambda,\psi,\gamma)$ be the weight that narrative $\omega \in \Omega$ attaches to parameter triple $\{\lambda,\psi,\gamma\}$. For each ω, we suppose that $\sum_{\{\lambda,\psi,\gamma\}\in\mathcal{T}} P_\omega(\lambda,\psi,\gamma) = 1$. These weights could be thought of as probabilities over a state space, or as weights assigned to different scenarios based on listening to different accounts of how the world works.

Let

$$U^K(t,x,\omega) = \sum_{\{\psi,\lambda,\gamma\}\in\mathcal{T}} P_\omega(\psi,\lambda,\gamma)\, u^K(t,x;\psi,\lambda,\gamma) \tag{3}$$

be the expected utility from narrative ω and policies (t,x). We will focus on situations where all citizens of the same type use the same narrative. However, this does not preclude citizens of *different* types adopting different narratives.

Figure 1: A Conviction Narrative



Hence, let $\{\omega^L, \omega^H\}$ be the narratives that citizens of each corresponding income level adopt.

We call ω a *conviction narrative* if it specifies a degenerate distribution over $\mathcal{T}$, i.e. one that assigns all of the weight to a triple of parameters $\{\lambda, \psi, \gamma\}$ so that $P_\omega(\lambda, \psi, \gamma) = 1$.[5] Let $\mathcal{C} \subseteq \Omega$, be the set of conviction narratives.

We assume that for any parameter triple $\{\lambda, \psi, \gamma\}$ that is in the support of some narrative ω, there exists a conviction narrative ν which assigns full weight to that triple. In other words, if for a triple (λ, ψ, γ) we have $P_\omega(\lambda, \psi, \gamma) > 0$ for some narrative ω, then there also exists a conviction narrative ν with $P_\nu(\lambda, \psi, \gamma) = 1$.

It is straightforward to illustrate a conviction narrative in our model as a directed acyclical graph (DAG) as shown in Figure 1. The effect of x on the incomes of high- and low-income citizens is determined by λ and (λ, ψ), respectively. The follow-on effect of average incomes onto the provision of public goods is determined by γ.

This shows a similarity to the representation of narratives as DAGs in Eliaz and Spiegler (2020), with a difference in the dimension in which the narratives vary. In Eliaz and Spiegler (2020), narratives vary in the causal ordering of variables; conditional on an order, however, parameters that describe causal relationships are

[5] We borrow the term "conviction narrative" from Tuckett and Nikolic (2017) and Johnson et al. (2020). Tuckett and Nikolic (2017, p. 502) suggest that "conviction narratives enable actors to draw on the information, beliefs, causal models, and rules of thumb situated in their social context to identify opportunities worth acting on, to simulate the future outcome of the actions by means of which they plan to achieve those opportunities, and to feel sufficiently convinced about the anticipated outcomes to act."

consistent with the data. In contrast, in our approach there is no disagreement about the direction of causation, and instead the disagreement is in the size of the relevant parameters.

Parties Policy is determined in political equilibrium by competition between two parties that represent each group. Parties are denoted by $J \in \{L, H\}$ and choose deregulation $x_J \in [\underline{x}, \overline{x}]$ and a tax $t_J \in [\underline{t}, \overline{t}]$. The two parties are staffed by low- and high- income citizen-candidates, respectively, who cannot commit to policies ex-ante. Thus the only incentive compatible policies are those that maximise the utility of their own income type. To chime with standard party classifications in political science, we will refer to the high income party as the *Right* and the low income party as the *Left*.

Party platforms comprise tax rates, $\{t_L, t_H\}$, and regulations, $\{x_L, x_R\}$ which since they are chosen after the election are given by:

$$\{\hat{t}_J, \hat{x}_J\} = \arg\max_{t,x} U^J\left(t, x, \hat{\omega}^J\right), \tag{4}$$

where $\hat{\omega}^J$ is the equilibrium narrative of citizens of income group J, discussed further below. In other words, policies of party J are chosen to maximise ex-post utility of citizens from the matching income group, given the narrative adopted by these citizens. Hence, as we discuss further below, the only strategic element in policy-making is via shifting the narrative that citizens adopt. If multiple regulation policies solve the above, we assume that $\hat{x}_H = \overline{x}$, $\hat{t}_H = \underline{t}$, $\hat{x}_L = \underline{x}$ and $\hat{t}_L = \overline{t}$.[6]

Voting We use a standard probabilistic voting model as in Persson and Tabellini (2002) with both an idiosyncratic ϵ pro-party H shock that is uniformly distributed on $\left[-\frac{1}{2\sigma}, \frac{1}{2\sigma}\right]$ and an aggregate pro-party H shock, η, that is uniformly distributed on $\left[-\frac{1}{2\kappa}, \frac{1}{2\kappa}\right]$. Then a voter of type K will vote for party H if

$$U^K(\hat{t}_H, \hat{x}_H; \hat{\omega}^K) + \epsilon + \eta \geq U^K(\hat{t}_L, \hat{x}_L; \hat{\omega}^K). \tag{5}$$

Thus the vote share of party H is

$$S_H = \frac{1}{2} + \sigma\left[\eta + \mu \Delta U^L\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^L\right) + (1-\mu)\,\Delta U^H\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^H\right)\right]$$

where $\Delta U^K\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^K\right) = U^K(\hat{t}_H, \hat{x}_H; \hat{\omega}^K) - U^K(\hat{t}_L, \hat{x}_L; \hat{\omega}^K)$. The voting system is majoritarian and the party with half the votes wins the election. So the

[6] We specify this for completeness, but the assumption does not play an important role in analysis and could be replaced by other assumptions.

winning probability for party H is given by

$$\begin{aligned}&\hat{\pi}\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^L, \hat{\omega}^H\right)\\&= \frac{1}{2} + \kappa\left[\mu \Delta U^L\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^L\right) + (1-\mu)\,\Delta U^H\left(\hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L; \hat{\omega}^H\right)\right]\end{aligned} \tag{6}$$

which we will assume has an interior solution (i.e. κ is low enough).

Narrative Adoption Beliefs are motivated and maximise expected utility:

$$\hat{\omega}^K = \arg\max_{\omega \in \Omega} \hat{\pi} U^K\left(\hat{t}_H, \hat{x}_H, \omega\right) + (1-\hat{\pi})\, U^K\left(\hat{t}_L, \hat{x}_L, \omega\right) \tag{7}$$

where they take the political equilibrium $\left\{\hat{\pi}, \hat{t}_H, \hat{x}_H, \hat{t}_L, \hat{x}_L\right\}$ as given.

This describes one non-standard feature of the model: citizens "choose" their preferred narrative, which will influence their policy preferences and thereby the equilibrium policies of parties. As in other models of motivated reasoning, such as Bénabou (2015), this process of narrative adoption can be thought of as happening subconsciously. When this narrative adoption happens as part of a political equilibrium, it will be affected by what citizens believe will be the policy outcomes. And this, in turn, may depend on the narrative choices they think that others will make. Our approach to political equilibrium demands that this happens in a consistent way, as we describe next.

2.2 Political Equilibrium

Equilibrium Structure The timing of the model is as follows:

1. Citizens choose a narrative from the available set.
2. Citizens vote.
3. The winning party implements policy.
4. Payoffs are realized.

A political equilibrium comprises a pair of narratives $\left\{\hat{\omega}^L, \hat{\omega}^H\right\}$ adopted by each group that satisfy (7); a set of policy choices $\left\{\hat{t}_J, \hat{x}_J\right\}$ for $J \in \{H, L\}$ that satisfy (4); and a winning probability $\hat{\pi}$ that satisfies (6).

3 Neoliberal Narratives

In this section, we use the framework of the previous section to study neoliberal narratives. The specificity of our modelling approach makes it possible to state precisely what we mean by "neoliberalism", a term that is often only vaguely defined. We will characterise the conditions for a narrative consensus or polarization across groups of citizens and show how the success of the neoliberal narrative depends on the state of the economy.

3.1 Basics

To simplify the analysis, we assume that there is common tax policy across parties, i.e. $\underline{t} = \overline{t} = t$.[7] Without loss of generality, we focus exclusively on conviction narratives $\mathcal{C}$ that put all of their weight on one particular parameter vector. Specifically:

Proposition 1. *For any political equilibrium, there exists an equilibrium with the same policy outcomes where citizens adopt conviction narratives.*

The reason for this is that if citizens adopt a non-conviction narrative in equilibrium, they must be indifferent between all parameter triplets that they assign weight to. For each group J, at least one of these triplets will be consistent with the original equilibrium policies $\{\hat{x}_J\}$. Given this, we will focus exclusively on conviction narratives $\nu \in \mathcal{C}$ in the sequel, and we will denote the equilibrium conviction narratives by $\{\hat{\nu}^L, \hat{\nu}^H\}$.

From now on, we will also focus on the case where causal parameters that make up a narrative have binary values, i.e. $\lambda \in \{\underline{\lambda}, \overline{\lambda}\}$, $\psi \in \{\underline{\psi}, \overline{\psi}\}$ and $\gamma \in \{\underline{\gamma}, \overline{\gamma}\}$, where upper-bars denote strictly larger values than lower-bars. This means that there are eight possible conviction narratives. However, to start with, we focus on two of these. The first we call the *post-war consensus narrative*:

$$\nu^c = \{\lambda^c, \psi^c, \gamma^c\} = \{\underline{\lambda}, \overline{\psi}, \overline{\gamma}\}, \tag{8}$$

and the second the *neoliberal narrative:*

$$\nu^n = \{\lambda^n, \psi^n, \gamma^n\} = \{\overline{\lambda}, \underline{\psi}, \underline{\gamma}\}. \tag{9}$$

Comparing these two narratives, observe that (i) $\lambda^n > \lambda^c$ so that the neoliberal narrative proposes that deregulation has a larger impact on incomes than does the post-war consensus narrative, (ii) $\psi^n < \psi^c$ so that the post-war narrative proposes that deregulation has a larger direct negative impact on low income individuals

[7] We relax this assumption in Supplemental Appendix S.

and (iii) $\gamma^n < \gamma^c$ so that the neoliberal narrative views the state as less efficient and public goods as less important than the post-war consensus narrative. Although stylized, we believe that these definitions capture core elements of these views and, in particular, give a precise interpretation of terms that are usually left vague.

We will also work with some parametric restrictions. The first ensures that narrative divergence implies policy divergence, which gives narrative choice some bite in our framework:[8]

$$\begin{aligned} t\underline{\gamma}(1-\mu(1+\underline{\psi})) &\geq \underline{\psi}(1-t) \\ &\text{and} \\ (1-t) &\leq t\underline{\gamma}(\mu(1+\overline{\psi})-1). \end{aligned} \tag{10}$$

These conditions imply that the trickledown condition holds for the neoliberal narrative, such that x is believed to increase aggregate income, but not for the post-war consensus narrative. Finally, we also focus on the case where the low income type suffers more from deregulation with the neoliberal narrative than the consensus narrative, i.e. $\overline{\lambda}\underline{\psi} \geq \underline{\lambda}\overline{\psi}$.

3.2 Analysis

We will now study citizen choice between the neoliberal narrative ν^n and the post-war consensus narrative ν^c; in the next section, we will turn to the choice between all narratives. To study the political equilibrium with these two narratives, we work backwards.

Policy Choices Given a pair of narrative choices, $\left\{\nu^L, \nu^H\right\}$, the optimal regulatory policy of party $J \in \{L, H\}$ depends only on the narrative of their core type, i.e. solves

$$x_J\left(\nu^J\right) = \arg\max_{x\in[\underline{x},\overline{x}]} \left\{u^J\left(t, x, \nu^J\right)\right\}. \tag{11}$$

Given condition (10), this implies that $x_J(\nu^c) = \underline{x}$ and $x_J(\nu^n) = \overline{x}$ for $J \in \{L, H\}$. In other words, either party implements deregulation if the citizens from their income class believe in neoliberalism, and implements regulation if they believe in the post-war consensus. For simplicity of notation, since both parties offer the same policy for a narrative $\nu \in \{\nu^c, \nu^n\}$, from now on we drop the subscript J and write $x(\nu)$ to denote the policy that follows from narrative ν.

[8] In particular, the condition ensures that any narrative that includes $\underline{\psi}$ ($\overline{\psi}$) implies that deregulation (regulation) is ex-post preferred by both types.

Winning Probabilities Given this, the winning probability of party J using (6), as a function of narrative choices $\{\nu^L, \nu^H\}$, is

$$\begin{aligned}
&\pi\left(\nu^L, \nu^H\right) \\
&= \frac{1}{2} + \kappa\left[\mu \Delta U^L\left(t, x\left(\nu^H\right), t, x\left(\nu^L\right)\right) + (1-\mu)\,\Delta U^H\left(t, x\left(\nu^H\right), t, x\left(\nu^L\right)\right)\right] \quad (12)
\end{aligned}$$

Narrative Choices To study narrative choices, it is useful to define for each income group $J \in \{L, H\}$, the perceived gain from adopting the neoliberal narrative relative to the post-war consensus:

$$\begin{aligned}
E^J\left(x(\nu^L), x(\nu^H)\right) \equiv\ & \pi\left(\nu^L, \nu^H\right)\left[u^J(t, x(\nu^H), \nu^n) - u^J(t, x(\nu^H), \nu^c)\right] \\
& +[1-\pi\left(\nu^L, \nu^H\right)]\left[u^J(t, x(\nu^L), \nu^n) - u^J(t, x(\nu^L), \nu^c)\right] \\
=\ & \pi\left(\nu^L, \nu^H\right)\left[(1-t)\Delta y^J\left(x\left(\nu^H\right)\right) + t\Delta G\left(x\left(\nu^H\right)\right)\right] \quad (13) \\
& + \left[1-\pi\left(\nu^L, \nu^H\right)\right]\left[(1-t)\Delta y^J\left(x\left(\nu^L\right)\right) + t\Delta G\left(x\left(\nu^L\right)\right)\right]
\end{aligned}$$

which consists of two main components denoted by $\Delta y^J(x)$ and $\Delta G(x)$. The first component is the perceived difference in private income across the two narratives given by:

$$\Delta y^J(x) \equiv y^J(x; \underline{\psi}, \overline{\lambda}) - y^J(x; \overline{\psi}, \underline{\lambda}), \quad (14)$$

The second component is the difference in public goods provision between the neoliberal narrative and the post-war consensus given by:

$$\begin{aligned}
\Delta G(x) &\equiv \underline{\gamma} Y(x; \underline{\psi}, \overline{\lambda}) - \overline{\gamma} Y(x; \overline{\psi}, \underline{\lambda}) \\
&= -\alpha\left(\overline{\gamma} - \underline{\gamma}\right) + x\left[\overline{\lambda}\underline{\gamma}\left(1-\mu\left(1+\underline{\psi}\right)\right) - \underline{\lambda}\overline{\gamma}\left(1-\mu\left(1+\overline{\psi}\right)\right)\right] \quad (15)
\end{aligned}$$

The first term in (15) is negative, representing the more pessimistic view of government efficiency under neoliberalism. The second term is positive given condition (10), due to the increase in aggregate income when the trickle-down condition holds; the neoliberal narrative is more optimistic about the scope for deregulation to increase aggregate output and hence public goods.

If expression (13) is positive for an income group, then members of the group will choose to believe the neoliberal narrative; if it is negative, they will choose the post-war consensus narrative. Since policy depends on the beliefs of *all* citizens, second-order beliefs matter when assessing which narrative to believe in, as they influence the pair of narratives (ν^L, ν^H) which citizens use to evaluate $E^J(x(\nu^L), x(\nu^H))$.

The sign and size of $\Delta G(x)$ depends on mean income, α. The higher is mean income, the bigger is the perceived problem of government waste, and the less attractive is the neoliberal narrative. This parameter therefore plays a key role in determining which narrative equilibrium arises:

Proposition 2. *There are three ranges of α with cutoff values $\underline{\alpha} < \overline{\alpha}$ such that:*

1. *If and only if $\alpha \in (\underline{\alpha}, \overline{\alpha})$, there is an equilibrium with narrative and policy divergence where the high (low) income citizens believe in the neoliberal narrative (post-war consensus narrative), and the high (low) income party delivers deregulation (regulation) if elected;*

2. *if $\alpha \leq \underline{\alpha}$ there is an equilibrium with full consensus on the neoliberal narrative and deregulation;*

3. *if $\alpha \geq \overline{\alpha}$, there is an equilibrium with full consensus on the post-war consensus narrative and regulation.*

Proposition 2 summarises how the state of the economy, α, influences the political equilibria. In particular, when α is very high or very low, the equilibrium will be one of narrative convergence across high- and low-income citizens, and policy convergence across parties; only in an intermediate range of α is there scope for narrative and policy divergence. The logic of the proposition can be understood in four steps.

First, observe that if low-income citizens believe in the neoliberal narrative in equilibrium, then high-income citizens must as well. This is because high-income individuals get the same benefit as low-income individuals from the change in public output when believing in the neoliberal narrative. But they get a strictly larger private benefit. A similar logic implies that if the high-income citizens believe in the post-war consensus, then so must the low-income citizens. The only kind of divergent beliefs that are possible are therefore where the high-income citizens adopt the neoliberal narrative while the low income citizens adopt the post war consensus narrative.

Second, consider what happens if α is very high. Then, the neoliberal narrative's pessimistic view of government efficiency makes it unattractive even to high-income citizens. Specifically, equation (15) shows that compared to the post-war consensus narrative, the lower government efficiency supposed by the neoliberal narrative leads to a loss in public output by $-(\overline{\gamma} - \underline{\gamma})\alpha$. With very high α, this loss is so large that it overshadows any private gains to high-income citizens stemming from the neoliberal narrative. Then *a fortiori,* the low income citizens also oppose the neoliberal narrative, and instead subscribe to the post-war consensus.

Third, consider the case where α is very low. Now, pessimism about public good efficiency with neoliberal narratives does not have a strong negative effect on utility. In contrast, the potential gains in public output from deregulation via the trickle-down effect are large, captured through the second term in equation (15). For low enough α, this trickle-down effect is sufficient to persuade even the

low income individuals to believe in the neoliberal narrative. *A fortiori,* the high income individuals will as well.

Fourth, note that for middling values of α we can have that the public output is seen as roughly equal with both the neoliberal and the post-war consensus narrative. In other words, the two terms from equation (15) roughly cancel each other out, so that $\Delta G(x) \simeq 0$. In that case, only the private gains from deregulation matter in forming a narrative preference, leading high income individuals to support the neoliberal narrative and low income individuals to support the post-war consensus.

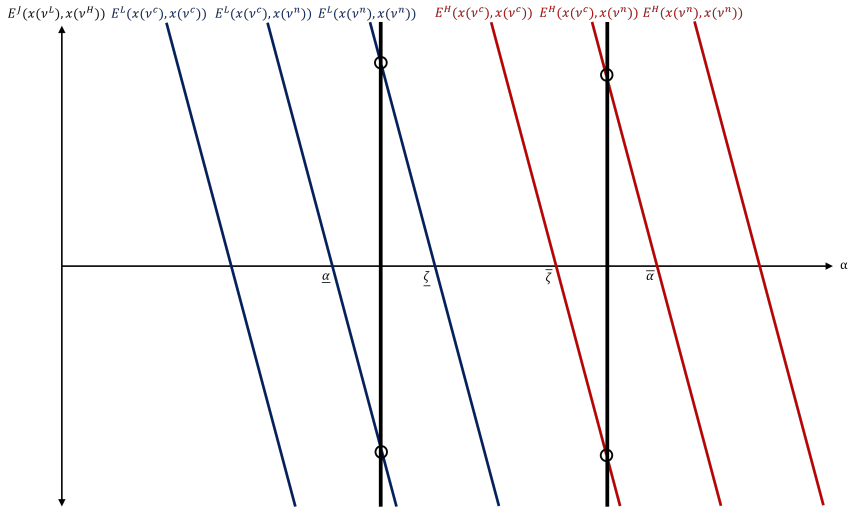
Multiple Equilibria? Proposition 2 showed that a polarized equilibrium exists when $\alpha \in (\underline{\alpha}, \overline{\alpha})$. However, this equilibrium need not be unique. We now show that there can be multiple equilibria which are interesting because they illustrate how second-order beliefs matter when citizens are choosing which narrative to follow. Specifically, if citizens think that others of their type are going to adopt a narrative, then this shifts policy and can make it optimal for them to choose that narrative, making the narrative a "self-fufilling prophecy". The details are explained in Appendix B; here, we focus only on the main intuition.

The logic is best explained in terms of the properties of the E^J functions described in equation (13) since these determine when it is optimal for any given type to believe in the neoliberal narrative given their policy expectations which, in turn, depend on the narrative equilibrium. Figure 2 illustrates this family of functions in order to bring out the logic of the multiple equilibria. It plots E^J functions for one particular "ordering", the details of which are discussed in Appendix section B.[9] These E^J functions slope downwards as a function of α since the payoff of believing in neoliberalism is lower when α is higher, as we discussed in reference to Proposition 2. If $E^J(x(\nu^L), x(\nu^H))$ is positive for a range of α, this implies that there is a positive payoff from believing the neoliberal narrative for citizens of group J, given their beliefs (ν^L, ν^H) about the narratives that citizens of each type adopt. Beliefs about the equilibrium narratives that will be adopted determine which of the E^J functions individuals use to evaluate the gain from adopting the neoliberal narrative. For example, if it is believed that all high- and low-income individuals will adopt the neoliberal narrative, the relevant gain from adopting the neoliberal narrative is $E^L(x(\nu^n), x(\nu^n))$ for low-income citizens and $E^H(x(\nu^n), x(\nu^n))$ for high-income citizens.

Higher-order beliefs about other citizens' beliefs can lead to different equilibria in the α-ranges $[\underline{\alpha}, \underline{\zeta}]$ and $[\overline{\zeta}, \overline{\alpha}]$ in Figure 2. This is because such higher-order beliefs determine whether the gain from adopting the neoliberal narrative is positive or negative. The vertical lines in the figure show that depending on the E^J function used to evaluate payoffs, adopting the neoliberal narrative can either have

[9] The Figure assumes that condition B.1 is satisfied.

Figure 2: Illustration of Multiple Equilibria



a positive or a negative payoff. In other ranges of α, the payoffs are positive or negative regardless of higher-order beliefs, making the equilibrium unique.[10]

3.3 Extensions

In the Supplemental Appendix S, we discuss two extensions to the framework. First, we discuss results when both deregulation x and tax policies t are endogenous. We show conditions under which neoliberalism comes with a tax cut, leading to polarization in both deregulation and tax policies. The main take-away of endogenising tax rates is that, although things get somewhat more complicated, the same broad conclusions can be drawn as with fixed taxes. Divergence in equilibrium narratives and policies, which now include both taxation and regulation, occur for intermediate values of α. Second, we consider an alternative microfoundation of the trickle-down mechanism. The trickle-down mechanism proposed in the main model runs through the provision of public goods, which generates a feedback from the aggregate economy to private payoffs. An alternative way to conceptualise differences between the neoliberal and post-war consensus narrative would be to suppose that these capture differences in individualistic versus collectivist worldviews.[11] The appendix shows that such a conceptualisation would lead to equivalent insights.

[10]For instance, in the range of $\alpha \in (\underline{\zeta}, \overline{\zeta})$, all E^H functions are positive and all E^L functions negative. It follows that there is a unique equilibrium in this range, where high-income citizens always adopt ν^n and low-income citizens ν^c.

[11]This brings this aspect of narratives closer to that suggested in Bénabou et al. (2018).

4 Narrative Dynamics

So far, we have assumed that the set of available narratives is given exogenously. We now explore the possibility that narratives are propagated as part of a party's electoral strategy. Since this leads to the set of available narratives evolving over time, we develop a dynamic (infinite horizon) version of the model where we allow political parties to propagate new narratives to determine the narrative set that citizens can choose from.

In this dynamic version of the model, narrative supply and demand are determined by the strategic interaction between politicians, who control political parties, and voters. Narratives will only become available to voters if it is in the interest of parties to propagate them, and they will only gain traction if it is in the interest of citizens to believe in them. So, even though many narratives are possible, not all of them will become part of a political equilibrium.

The analysis highlights different possible dynamic paths of narratives and policies. In particular, we show that weaker economic conditions will give rise to the neoliberal narrative among high-income citizens and policy polarization across parties, before both parties converge on a new consensus narrative that stresses the merits of deregulation. Even temporary economic shocks can unleash this narrative dynamic and permanently change the policy equilibrium. The framework therefore exhibits a natural form of hysteresis since, once a narrative is propagated in response to an economic shock, it continues to shape policy equilibria even after the economy recovers.

4.1 The Dynamic Model

The Narrative Space Since the three causal parameters λ, ψ and γ can each take a high or low value, there are eight possible narratives to consider. Among these is the post-war consensus narrative ν^c and the neoliberal narrative ν^n that we have already studied. In the equilibrium of the dynamic model, one additional narrative that we have not considered so far turns out to play an important role:

$$\nu^3 = \{\overline{\lambda}, \underline{\psi}, \overline{\gamma}\} \tag{16}$$

We refer to ν^3 as the "Third Way" narrative, following a term that has been used to describe the politics of Clinton, Blair, and other politicians from traditionally centre-left parties who adopted a more pro-market stance in the 1990s (Giddens, 1998).[12] This is a form of "left-wing neoliberalism" that combines el-

[12]Interestingly, Gerstle (2022) uses the term "Third Way" as a description of the New Deal narrative that emerged in the 1930s. The term was also used by Wilhelm Röpke, one of the Presidents of the Mont Pelerin Society, to describe an economic order that combines market-based approaches with some role for state intervention (Burgin, 2012).

ements of the neoliberal narrative ν^n and the post-war consensus narrative ν^c. Specifically, the Third Way narrative ν^3 agrees with neoliberalism on the benefits of deregulation (via a low ψ and high λ), and agrees with the post-war consensus on the efficiency and importance of government spending (via high γ).

Propagating Narratives In each period t, each party decides whether to propagate a conviction narrative $\nu \in \mathcal{C}$. We denote this decision by party J by $I_J^\nu \in \{0, 1\}$, where 1 denotes propagating narrative ν. The cost of propagating a narrative is δ. We avoid the trivial cases where the cost is so high that parties never wish to propagate new narratives.[13] This cost can have a variety of interpretations. Most basically, it could be a cost of advertising. However, it could also be thought of as representing a potential loss of reputation for the party associated with advocating a new narrative. It could also represent internal fights within a party between ideologues and opportunists.

The main state variable in the dynamic version of the model is denoted by σ_t, which consists of the set of narratives that are available to voters. We fix the initial state to be $\sigma_0 = \{\nu^c\}$, i.e. only the post-war consensus narrative is available so there is no meaningful narrative choice. If one or more parties propagate an additional narrative ν, it will be heard by all voters with an (exogenously given) probability $p \in (0, 1)$. If it is heard, it is added to the set σ_t, after which it is available to all voters forever more, i.e. there is no memory loss. With probability $1 - p$, the narrative does not "cut through" with voters in which case there is no change in σ_t.

The probability p can be thought of as representing the probability that a narrative can be phrased in a way as to be convincing or understood by voters. This could depend on whether a party leader has the right level of charisma or capacity for rhetoric in the framing of the narrative. Politicians like Reagan, Thatcher, Clinton and Blair were famous in their capacities to frame their versions of neoliberalism in ways that voters found appealing.

Party Motivations When choosing whether to propagate narratives, parties are assumed to maximize their short-run, i.e. period t, payoff. Moreover, we assume that the party leadership has lexicographic preferences, caring first and foremost about winning the election net of communication costs δ, and then secondarily about maximizing the welfare of their core supporters. This permits the simplest dynamic extension with analysis of policy outcome conditional on winning being identical to the last section.

[13] In particular, this requires $\delta < p(\max\{\overline{\pi}, 1 - \overline{\pi}\} - \frac{1}{2})$, where $\overline{\pi}$ is defined in equation (18) below.

Timing Within each period of the game, the timing is as follows:

1. Parties choose whether to propagate new narratives.
2. Citizens choose a narrative from the available set.
3. Citizens vote.
4. The winning party implements policy.
5. Payoffs are realized.

Stages 2-5 of the model are as in the previous section, with the exception that the set of available narratives is potentially different to what has been discussed so far.

4.2 Dynamic Equilibrium

We look for a *Markov Perfect Equilibrium.* Within any period t, each party J's optimal choice of narrative propagation will be a function of the state variable: $I_J^\nu(\sigma_t)$. In the case of multiple equilibria, we will select a polarizing equilibrium whenever it exists.[14]

The Dynamic Path The following Proposition describes the different paths that are possible in the dynamic model. After stating it, we will discuss the underlying logic with the formal proof appearing in the Appendix.[15]

Proposition 3. *The dynamic equilibrium depends on the state of the economy represented by α:*

1. *When the economy is doing well ($\alpha \geq \overline{\alpha}$), then in the unique Markov Perfect equilibrium, no party deploys a new narrative, and the state remains $\sigma_t = \{\nu^c\}$. Along the entire dynamic path, there is convergence on regulation across both parties.*

[14]This is for convenience. However, the analysis yields similar results under alternative assumptions about equilibrium selection, including if we make the opposite assumption that we only pick a polarizing narrative if it is unique.

[15]To simplify the analysis, we focus on the case that condition (B.1) holds, which leads to the ordering of E^J functions as discussed in Section B and shown in Figure 2. The details can be found in Appendix Proposition B.1. If we did not assume condition (B.1), our analysis would be very similar, but more taxonomic, as more cases would need to be considered in terms of the order of E^J functions.

2. *When the economy is doing less well ($\alpha \in (\tilde{\alpha}, \overline{\alpha})$, with cutoff $\tilde{\alpha} < \overline{\alpha}$), then in any Markov Perfect equilibrium, along the equilibrium path one party deploys the neoliberal narrative ν^n with positive probability, while the other deploys the Third Way narrative ν^3 with positive probability. No other narratives are deployed. There are two possibilities:*

   (a) *the state first changes to $\{\nu^c, \nu^n\}$, leading to narrative divergence where only high income citizens believe in the neoliberal narrative as well as policy divergence where only the high income party supports deregulation. Thereafter, the state converges to the absorbing state $\{\nu^c, \nu^n, \nu^3\}$, where both parties support deregulation.*

   (b) *the state changes directly to the absorbing state $\{\nu^c, \nu^3\}$ or $\{\nu^c, \nu^n, \nu^3\}$, where both parties support deregulation.*

This result distinguishes two cases depending on the state of the economy. Case 1 parallels our finding from the static model where there was convergence on the post-war consensus. However, this was *only* in comparison to the neoliberal narrative being available; this result shows that this is a global result even allowing for the set of all possible narratives to be propagated by parties. In this case, the economy will maintain a consensus regulation policy. The more interesting possibility is Case 2, when the economy is doing less well as represented by lower α. Now the Proposition says that one party will propagate the neoliberal narrative, and the other the Third Way narrative. Eventually, the state will converge to one where the Third Way narrative is successfully deployed, all citizens believe in it, and there is convergence on deregulation across both parties. However, before that happens, there is potential for the neoliberal narrative to generate polarization in citizen narratives and party policies.

Discussion To explain the logic of this result, recall that in the initial state σ_0 where only the post-war consensus narrative, ν^c, is available, then (trivially) all voters believe in the merits of regulation, and there is no scope for cross-party policy difference. Thus ν^c is a *consensus narrative:* all citizens believe in it, and hence both parties offer the same regulation policy x. As there is also no differentiation in tax policies, both parties are indistinguishable by voters in their policy stance. Hence, neither party has an electoral advantage, and each wins with probability one-half.

The only way that a party can gain an electoral advantage is to deploy a *polarizing narrative*, i.e. one that will be believed by some, but not all, citizens. But for such a narrative to gain traction with voters, it has to be attractive enough to convince one income group, but not too attractive to convince both. Starting with the post-war consensus where ν^c is adopted by all citizens, only the neoliberal narrative ν^n can be polarizing for $\alpha > \tilde{\alpha}$. We show in the proof of the Proposition,

that the remaining narratives cannot be polarizing either because they are too unattractive for any citizen to believe in them or because they are too attractive and would convince everyone.[16]

The multi-dimensionality of the parameter space plays an important role in this result. Thus, the neoliberal narrative can create polarization because it disagrees with the post-war consensus on two dimensions. Disagreement with ν^c on the trickle-down effect through a different assessment of ψ implies policy disagreement. Furthermore, disagreement on government efficiency through a different γ creates an additional cleavage between income groups, increasing the potential for polarization.

It is not inevitable that neoliberalism is polarizing and therefore strategically attractive for a party. Proposition 2 stressed that this depends on the state of the economy α. This reasoning is familiar from the static model since we know that with high α, neoliberal pessimism in government efficiency is too costly for *either* income group to find it attractive relative to the post-war consensus. Specifically, there is a loss of $-(\overline{\gamma} - \underline{\gamma})\alpha$ from adopting the neoliberal narrative, as can be seen in equation (15). Thus, a strong economy — high α — makes neoliberalism unattractive. Proposition 2 also shows that, starting from a high α, the neoliberal narrative can only break the post-war consensus if there is a downturn in the economy—a decrease in α. This corresponds to an established view that neoliberal narratives gained traction during the economic turbulence of the 1970s, an idea captured succinctly in the preface of Friedman (1982, p. xiii-xiv):

> "Only a crisis - actual or perceived - produces real change. When that crisis occurs, the actions that are taken depend on the ideas that are lying around. That, I believe, is our basic function: to develop alternatives to existing policies, to keep them alive and available until the politically impossible becomes the politically inevitable."

He is pointing out that narratives can exist in the toolkit of intellectuals, but they only become part of the political process when the conditions are right. The neoliberal narrative was clearly known before economic turbulance hit in the 1970s but our model suggests that it was not going to gain traction even if a party deployed it in the benign economic circumstances that prevailed.[17] In contrast,

[16]See the appendix for the proof to Proposition 3. It outlines some subtleties in the reasoning. We show that some narratives will not be employed because they achieve the same electoral outcomes while being less preferred by citizens. One other narrative is polarizing for a lower range of $\alpha < \tilde{\alpha}$ which we do not consider here; however, it is strictly dominated by ν^n from the citizens' perspective and therefore does not change the long-run outcomes either.

[17]Of course, we do not allow economic shocks to be a function of the policies in place and doubtless some proponents of neoliberalism blamed the turbulence of the 1970s on the policies that prevailed. However, the oil shocks of the 1970s were plausibly exogenous.

after a downturn that leads to $\alpha \in (\tilde{\alpha}, \overline{\alpha})$, the neoliberal narrative ν^n is attractive to high-income but not low-income citizens. It follows that one party will find it optimal to propagate the neoliberal narrative.

After the neoliberal narrative has been successfully deployed, leading to policy polarization, the party that deployed the narrative gains an electoral advantage. Since elections are zero-sum games, this puts the opposing party at a disadvantage. To negate this disadvantage, the optimal strategy is to bring forth a new narrative that restores the political fortune of the party that loses from neoliberalism. This is done by deploying the Third Way narrative.

What is special about the Third Way narrative is that it overcomes the neoliberal polarization and creates a new consensus by combining the most optimistic elements from the other competing narratives. It has neoliberal optimism about the value of deregulation as embodied in high λ and low ψ. It has post-war consensus optimism in its views about the effectiveness of government in the form of high γ. It realises that the Achilles heel of politicians like Reagan and Thatcher was their pessimism about the role of the state. After the Third Way narrative is successfully deployed, as it was by Clinton, Obama and Blair, it creates a new consensus on deregulation. With both parties converging onto the same policy, voters are again indifferent between parties, and no party benefits from an electoral advantage over the post-war consensus even though the underlying regulation policies are different.

The results illustrate an interesting feature of dynamic political competition with narratives. Starting from a consensus, the neoliberal narrative is deployed along the equilibrium path even though, from the perspective of citizens, it is dominated by the Third Way narrative. Propagating neoliberalism is attractive for a party precisely because it is polarizing and the Third Way is electorally useful only when it is used to counter it in order to build a new consensus. Thus, neoliberalism can be thought of as a disruptive narrative to break a consensus.[18]

For the same reason that the Third Way narrative can combat existing neoliberal polarization, it can also preempt it. Whether or not it pays off for a party to try to preemptively propagate the Third Way narrative depends on the probability of success of narratives, captured through the parameter p, as well as the costs of propagation, captured through the parameter δ. How these parameters exactly feed into the dynamic equilibrium depends on which party benefits from the polarized neoliberal equilibrium.

When will Neoliberalism be propagated by right-wing parties? Proposition 3 does not say *which* party will propagate the neoliberal narrative. Given that parties are assumed to care about winning this is not a matter of party ideology.

[18]Narrative competition therefore has some features that are familiar from models of creative destruction (Aghion and Howitt, 1992).

Moreover, the policy choice that any party makes simply follows what is optimal for the group that they represent. In reality, we know that parties of the political right, the Republicans in the US and the Tories in the UK, were the vanguard of neoliberalism. We now explore when our model predicts that this will be the case.

The key condition that is needed for it to be the high income party to propagate the neoliberal narrative is:

$$\frac{\overline{\lambda}}{\underline{\lambda}} > \frac{\mu}{1-\mu}\frac{(1-t)\overline{\psi}+t\overline{\gamma}(\mu(1+\overline{\psi})-1)}{(1-t)+t\underline{\gamma}(1-\mu(1+\underline{\psi}))} \tag{17}$$

The right party receives additional votes from high-income voters who adopt the neoliberal narrative and hence prefer deregulation, but fewer votes from low-income voters who adhere to the post-war consensus narrative and support regulation. The gain from increased high-income votes exceeds the loss from low-income voters when (17) holds. Whenever $\overline{\lambda}$ is large enough relative to $\underline{\lambda}$, party H gains from narrative polarization.

In this polarized equilibrium where high income individuals adopt the neoliberal narrative, party H's winning probability is:

$$\begin{aligned}\overline{\pi} \equiv \frac{1}{2} + \kappa(\overline{x}-\underline{x}))[(1-\mu)\overline{\lambda}\left((1-t)+t\underline{\gamma}(1-\mu(1+\underline{\psi}))\right)\\ -\mu\underline{\lambda}\left((1-t)\overline{\psi}+t\overline{\gamma}(\mu(1+\overline{\psi})-1)\right)],\end{aligned} \tag{18}$$

which is greater than a half when (17) holds. Correspondingly, the left's winning probability is then $1-\overline{\pi}$. The left benefits from countering the neoliberal narrative in order to increase it's winning chances back to one-half. However, whether it benefits from doing so pre-emptively rather than waiting for neoliberalism to arise depends on the probability that narrative deployment succeeds p and the cost of deploying narratives δ. This trade-off between benefits and costs is made precise in:

Proposition 4. *Suppose that condition (17) holds and that $\alpha \in (\tilde{\alpha}, \overline{\alpha})$. Then there are three cases:*

1. *If $\delta \in (p^2(\overline{\pi}-0.5), p(\overline{\pi}-0.5))$, in the unique equilibrium, the right party propagates narrative ν^n in state $\{\nu^c\}$, and the left party propagates narrative ν^3 in state $\{\nu^c, \nu^n\}$. On the equilibrium path, the state changes first to $\{\nu^c, \nu^n\}$ with policy divergence, and then moves to the absorbing state $\{\nu^c, \nu^n, \nu^3\}$ with convergence on deregulation.*

2. *If $\delta < \min[p^2(\overline{\pi}-0.5), (1-p)p(\overline{\pi}-0.5)]$, in the unique equilibrium, in state $\{\nu^c\}$ the right party propagates ν^n and the left propagates narrative ν^3. In state $\{\nu^c, \nu^n\}$, the left propagates ν^3. On the equilibrium path, the state either*

changes as in case 1 above, or moves from $\{\nu^c\}$ directly to the alternative absorbing state $\{\nu^c, \nu^3\}$, with convergence on deregulation.

3. *If $(1-p)p(\overline{\pi}-0.5) < \delta < p^2(\overline{\pi}-0.5)$, in the unique equilibrium, in state $\{\nu^c\}$ the right party mixes between propagating ν^n and not propagating any new narrative, and the left party mixes between propagating ν^3 and not propagating any narrative. In state $\{\nu^c, \nu^n\}$, the left propagates ν^3. On the equilibrium path, the state changes as in case 2 above.*

This proposition clarifies the conditions required for the left to propagate the Third Way narrative preemptively, i.e. *before* the right deploys the neoliberal narrative. It states that the left will propagate the Third Way narrative preemptively only if the narrative communication cost, δ, is relatively low, or if the probability that propagation is successful, p, is relatively high. To understand this, note that the payoff from propagating ν^3 differs from that of propagating ν^n since ν^n generates an electoral benefit if it succeeds while the Third Way does not (i.e. with probability $p(1-p)$), while ν^3 is helpful only if neoliberalism and itself succeeds (with probability p^2). Since the success of narratives is probabilistic, these two payoffs are not the same.

The left will preemptively propagate the Third Way narrative only if it is not costly to do so (low δ), or if narratives deployment is very likely to succeed (high p). If instead δ is high or p is low, the left will only propagate the Third Way narrative after neoliberalism has been deployed successfully by the right. Given that the Third Way narrative emerged only some time after the Reagan and Thatcher eras, this seems like the relevant case.

Hysteresis? Our results show that temporary economic shocks can have permanent effects on policy. To see this, observe that if initially we start with $\alpha_0 \geq \overline{\alpha}$ followed by a shock to $\alpha_1 \in (\underline{\alpha}, \bar{\alpha})$ then it is optimal for the right party to propagate the neoliberal narrative if condition (17) holds. This leads to a transition to the state $\{\nu^c, \nu^n\}$ and policy divergence. The left party will now counter with the Third Way narrative, leading to the state $\{\nu^c, \nu^n, \nu^3\}$ with a consensus on deregulation. Now even if α reverts to α_0, this consensus will persist. Thus, a temporary shock leads to a permanent shift in equilibrium policy, via deployment of new narratives.

This observation reveals what is special about a model where political dynamics are driven by shifts in narratives since, once a narrative is propagated and becomes known to voters, it cannot be withdrawn. This captures the frustration of those who supported the post-war consensus in the UK and US and have been harsh critics of politicians like Clinton, Obama and Blair for their perpetuation of the Third Way which they (correctly) observe preserves many elements of neoliberalism. Our explanation for this hysteresis is that, with motivated reasoning,

there is no way to persuade the voters to return to the post-war model.

5 Concluding Comments

This paper has laid out a framework for studying the role of narratives as subjective causal models in a canonical model of political competition of the kind that dominates the political economy literature, where two parties from the left and right are competing for power and class differences are the key political cleavage. We have explored static and dynamic aspects of a world in which citizens can choose which narratives to incorporate into their beliefs based on self-serving motivated reasoning. This can result in narrative polarization where preferences for divergent policies are driven not just by interests but by differing views about how the economy works.

We have argued that this kind of framework can usefully be applied to study the emergence of neoliberal thinking and policy making that emerged in the late 1970s and has become a cornerstone of economic policy ever since. For many commentators, this has led to policy models being sustained that are detached from reality, making some kind of motivated reasoning a plausible explanation. While initiated by an economic shock in the 1970s, its persistence has been a source of puzzlement. As De Long (2023) has put it: "The smart thing to say is that ... neoliberalism is, or ought to be, dead, but zombie-like, it still walks the earth." But the detachment of narrative-based beliefs from evidence can allow such persistence to emerge and to be sustained. Our approach can also explain why a consensus formed around a particular version of neoliberalism which has been referred to as the "Third Way" since Clinton and Blair.

Although these are complex issues, we think that there is value in debating them using a modelling framework which can bring a degree of specificity and precision to what are often quite vague concepts. In spite of the inevitable simplicity of the approach that we have suggested with only two groups, two parties and two policy dimensions, there is richness in the analysis, especially when dynamics are considered.

Bringing the theoretical approach to the data is possible using different kinds of text data. First, it is possible to explore shifts in narratives in political speeches in legislatures and elsewhere using new methods that use machine learning to detect causal statements. The framework that we have proposed with three elements to the core narratives can be used to frame the way in which such text data is categorized (Ash et al., 2024). Second, one can look at party manifestos and the influence that neoliberalism has had on policy making through this lens.

Another area for further investigation is the nature of narrative innovation. Our core model of eight possible narratives considers each narrative to be a re-

combination of existing parameters. Hence the innovation created by the Third Way was a hybrid of the post-war consensus and the neoliberal narrative. Thus, our dynamic model shows the scope for such narratives to have an effect on policy-making. Another way of innovating narratives would be to create new dimensions of policy difference that voters had not been focusing on. These *diversification* narratives would work by introducing new parameters into the parameter space and bringing attention to aspects of policy that other narratives have ignored. A recent example of such narratives is the way in which arguments about security and resilience are being used to reshape debates about the consequences of economic openness, an element of neoliberalism. The policy has not changed, only the way that its consequences are being presented to voters. Thus, the new security and resilience narrative argues for taxes on Chinese imports on cars in the US on the grounds of reducing import dependence on a potentially hostile country. Such narratives have the potential to break out of the Third Way consensus by providing new justifications for low x in our model.

We have modeled narratives as being isomorphic to subjective causal models without getting into their cognitive underpinnings. However, exploring these is an important topic for future work on narratives. Arguably what makes a narrative influential is its capacity to make specific causal features of policy salient (Bordalo et al., 2020, 2012) or creating something that is memorable when voters are casting their ballots. Kendall and Charles (2022) study a micro founded model with experimental evidence and it could be fruitful to connect this to policy case studies which could provide a tighter connection to the literature on cognition and bounded rationality in policy choice (Bendor, 2010).

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A Proofs

A.1 Proposition 1

Suppose that an equilibrium exists where citizens from group J choose a narrative distribution $\hat{\omega}^J$ over a set $\mathcal{Q}^J \subseteq \mathcal{T}$, which assigns nonzero weight $P_{\hat{\omega}^J}(\psi, \lambda, \gamma)$ to each triple $\{\psi, \lambda, \gamma\} \in \mathcal{Q}^J$. Denote the equilibrium policies of the right and left party by $\hat{x}_H(\hat{\omega}^H), \hat{x}_L(\hat{\omega}^L)$. The expected utility for each type is then given by

$$\pi(\hat{x}_H(\hat{\omega}^H), \hat{x}_L(\hat{\omega}^L)) \sum_{\{\psi,\lambda,\gamma\}\in\mathcal{Q}^J} P_{\hat{\omega}^J}(\psi, \lambda, \gamma)\, u^J(t, \hat{x}_H(\hat{\omega}^H); \psi, \lambda, \gamma)$$
$$+ (1 - \pi(\hat{x}_H(\hat{\omega}^H), \hat{x}_L(\hat{\omega}^L))) \sum_{\{\psi,\lambda,\gamma\}\in\mathcal{Q}^J} P_{\hat{\omega}^J}(\psi, \lambda, \gamma)\, u^J(t, \hat{x}_L(\hat{\omega}^L); \psi, \lambda, \gamma)$$

Since each triple $\{\psi, \lambda, \gamma\}$ receives positive weight, each must generate the same utility given equilibrium policies $\hat{x}_H(\hat{\omega}^H), \hat{x}_L(\hat{\omega}^L)$. Thus, each citizen would be willing to adopt any of the triples in the support of $\mathcal{Q}^J$ with certainty, rather than adopting the distribution $\hat{\omega}^J$. Among such triples, there must be at least one, $\hat{\nu}^J$, that satisfies $\hat{x}_J(\hat{\nu}^J) = \hat{x}_J(\hat{\omega}^J)$, i.e. that recreates the same equilibrium policy for party J. To see this, note that there are three cases (because utility is linear in x): either the utility of citizen of type J with narrative $\hat{\omega}^J$ is increasing, decreasing, or constant in x. In the first case, there must be at least one triple in $\mathcal{Q}^J$ that also leads to utility being increasing in x; in the second, there must be at least one triple that leads to utility being decreasing in x. In the third case, by assumption, if parties are indifferent they choose either $\underline{x}$ (in the case of the left party) or $\overline{x}$ (in the case of the right party). Now, when utility does not vary with x, it means that either all triples in $\mathcal{Q}^J$ have x-derivative equal to zero, so any of them recreates the results, or that there are some with positive and some with negative x-derivatives, so that there is at least one triple that generates the same equilibrium x. Thus, whenever there is an equilibrium with a distribution $\hat{\omega}^J$, there must exist a conviction narrative $\hat{\nu}^J$ which yields the same utility to citizens of type J and leads to the same equilibrium policy x_J. Hence, such a conviction narrative $\hat{\nu}^J$ must be an equilibrium whenever $\hat{\omega}^J$ is an equilibrium.

A.2 Proposition 2

The proof proceeds in three steps. We first argue that the only possible equilibria are $(\nu^L, \nu^H) \in \{(\nu^c, \nu^c), (\nu^c, \nu^n), (\nu^n, \nu^n)\}$. Next, we show that the E^J functions can be ordered, so that $E^L(x(\nu^c), x(\nu^c)) < E^L(x(\nu^c), x(\nu^n)) < E^H(x(\nu^c), x(\nu^n)) < E^H(x(\nu^n), x(\nu^n))$. Finally, we define the thresholds $\underline{\alpha}$ and $\overline{\alpha}$, and characterise the equilibria for different ranges of α.

Set of equilibria To see that there cannot be an equilibrium where only low-income citizens believe in neoliberalism, recall that the payoff from believing in the neoliberal narrative for group J is given by equation 13. Since $\overline{\lambda}\underline{\psi} \geq \underline{\lambda}\overline{\psi}$, $\Delta y^L \leq 0 < \Delta y^H$, and hence for any narrative ν^L, ν^H, the payoff from believing in the neoliberal narrative is higher for high-income relative to low-income citizens. Hence, in equilibrium, it is impossible that low-income citizens adopt the neoliberal narrative while high-income citizens adopt the post-war consensus narrative. It follows that the only three possible narrative equilibria are $(\hat{\nu}^L, \hat{\nu}^H) \in \{(\nu^c, \nu^c), (\nu^c, \nu^n), (\nu^n, \nu^n)\}$.

Ordering of E^J functions Since the payoff from adopting the neoliberal narrative is strictly higher for high-income citizens, we know that $E^H(x(\nu^L), x(\nu^H)) > E^L(x(\nu^L), x(\nu^H))$ for any (ν^L, ν^H). For the remaining ordering, we can now show that:

$$\begin{aligned} & E^H(x(\nu^n), x(\nu^n)) > E^H(x(\nu^c), x(\nu^c)) \\ \iff \; & (1-t)\underbrace{(\Delta y^H(\overline{x}) - \Delta y^H(\underline{x}))}_{\text{positive}} + t\underbrace{(\Delta G(\overline{x}) - \Delta G(\underline{x}))}_{\text{positive}} > 0 \end{aligned}$$

We can also show that:

$$\begin{aligned} & E^L(x(\nu^n), x(\nu^n)) > E^L(x(\nu^c), x(\nu^c)) \\ \overline{\lambda}\underbrace{(t\underline{\gamma}(1-\mu(1+\underline{\psi})) - (1-t)\underline{\psi})}_{\text{positive (implied by condition 10)}} & > \underbrace{-\underline{\lambda}(t\overline{\gamma}(\mu(1+\overline{\psi}) - 1) + (1-t)\overline{\psi}))}_{\text{negative (implied by condition 10)}} \end{aligned}$$

Since $E^J(x(\nu^c), x(\nu^n)) = \pi(\nu^c, \nu^n)E^J(x(\nu^n), x(\nu^n)) + (1-\pi(\nu^c, \nu^n))E^J(x(\nu^c), x(\nu^c))$, for any $\pi(\nu^c, \nu^n) \in (0, 1)$ we have the ordering $E^J(x(\nu^n), x(\nu^n)) > E^J(x(\nu^c), x(\nu^n)) > E^J(x(\nu^c), x(\nu^c))$.

From all of the above, it follows that $E^L(x(\nu^c), x(\nu^c)) < E^L(x(\nu^c), x(\nu^n)) < E^H(x(\nu^c), x(\nu^n)) < E^H(x(\nu^n), x(\nu^n))$, as required.

Characterising equilibria We now define $\underline{\alpha}$ as the unique α that satisfies $E^L(x(\nu^c), x(\nu^n)) = 0$, and $\overline{\alpha}$ as the unique α that satisfies $E^H(x(\nu^c), x(\nu^n)) = 0$. From the previous arguments, we know that $E^L(x(\nu^c), x(\nu^n)) < E^H(x(\nu^c), x(\nu^n))$ for any given α. We also know that E^J is linearly decreasing in α (see equation (13)). Hence, we know that the cutoffs satisfy $\underline{\alpha} < \overline{\alpha}$. Finally, we know that $\underline{\alpha} > \alpha^L_{cc}$, where the latter is defined as the α that satisfies $E^L(x(\nu^c), x(\nu^c)) = 0$, which by definition satisfies

$$\alpha^L_{cc} t \frac{\overline{\gamma} - \underline{\gamma}}{\underline{x}} = \overline{\lambda}\left(t\underline{\gamma}(1-\mu(1+\underline{\psi})) - (1-t)\underline{\psi}\right) + \underline{\lambda}(t\overline{\gamma}(\mu(1+\overline{\psi}) - 1) + (1-t)\overline{\psi}),$$

which is positive given condition (10). It follows that $\underline{\alpha} > 0$.

To characterise the equilibria, consider the polarized narrative combination (ν^c, ν^n). Note first that in the range $\alpha \in [\underline{\alpha}, \overline{\alpha}]$, $E^H(x(\nu^c), x(\nu^n)) \geq 0$ and $E^L(x(\nu^c), x(\nu^n)) \leq 0$. Hence, for that range, it follows that, given narratives are assumed to be (ν^c, ν^n), low-income citizens prefer ν^c and high-income citizens prefer ν^n. Therefore, (ν^c, ν^n) is an equilibrium. If instead $\alpha < \underline{\alpha}$, $E^L(x(\nu^c), x(\nu^n)) > 0$, and hence low-income citizens would prefer ν^n, and (ν^c, ν^n) does not constitute an equilibrium. Similarly, if instead $\alpha > \overline{\alpha}$, $E^H(x(\nu^c), x(\nu^n)) < 0$, and hence high-income citizens would prefer ν^c, and (ν^c, ν^n) does not constitute an equilibrium. Hence, (ν^c, ν^n) constitute equilibrium narratives if and only if $\alpha \in [\underline{\alpha}, \overline{\alpha}]$, as stated in the Proposition.

Now, consider the equilibrium (ν^n, ν^n). Following the logic above, this constitutes an equilibrium if $E^L(x(\nu^n), x(\nu^n)) \geq 0$ and $E^H(x(\nu^n), x(\nu^n)) \geq 0$. Given $E^L(x(\nu^n), x(\nu^n)) < E^H(x(\nu^n), x(\nu^n))$ and since E^J is downwards sloping in α, this is satisfied for all $\alpha \leq \alpha^L_{nn}$, where the latter is defined as the α that satisfies $E^L(x(\nu^n), x(\nu^n)) = 0$. Now, because $E^L(x(\nu^c), x(\nu^n)) < E^L(x(\nu^n), x(\nu^n))$, it follows that $\underline{\alpha} < \alpha^L_{nn}$. Since (ν^n, ν^n) is an equilibrium for all $\alpha \leq \alpha^L_{nn}$, *a fortiori*, it is also an equilibrium for all $\alpha \leq \underline{\alpha}$, as stated in the Proposition.

Equivalent reasoning to the previous paragraph establishes that (ν^c, ν^c) constitutes an equilibrium for all $\alpha \geq \overline{\alpha}$, as stated in the Proposition.

A.3 Proposition 3

The proof follows three steps.

We begin by showing that no narrative will be propagated out of the following set:

$$\{\underline{\lambda}, \overline{\psi}, \underline{\gamma}\}, \{\overline{\lambda}, \overline{\psi}, \overline{\gamma}\}, \{\overline{\lambda}, \overline{\psi}, \underline{\gamma}\}, \{\underline{\lambda}, \underline{\psi}, \overline{\gamma}\}$$

This leaves three possible narratives: ν^n, ν^3, as well as $\tilde{\nu}^n \equiv \{\underline{\lambda}, \underline{\psi}, \underline{\gamma}\}$.

Next, we argue that in state ν^c, only polarizing narratives will lead to an electoral advantage. We show that, starting in state ν^c, only two narratives can ever be polarizing: ν^n and $\tilde{\nu}^n$. We also argue that the only narrative that is a best response to polarization is ν^3. We argue that only ν^n but not $\tilde{\nu}^n$ is polarizing in a range $\alpha \in [\tilde{\alpha}, \overline{\alpha}]$ with $\underline{\alpha} \leq \tilde{\alpha} < \overline{\alpha}$, and none of the two are polarizing in the range $\alpha > \overline{\alpha}$. This directly leads to the first result of the proposition for the latter range.

Finally, for the range $\alpha \in [\tilde{\alpha}, \overline{\alpha}]$, we describe why one party will deploy ν^n, and the other ν^3. We show that the two narratives are either promoted by parties sequentially, with ν^n coming first, or that they are promoted at the same time, in which case ν^3 can be successfully propagated before ν^n. This yields the second result in the proposition.

Ruling out narratives. We can show that several narratives will never be propagated in equilibrium, given that we start with ν^c:

- $\{\underline{\lambda}, \overline{\psi}, \underline{\gamma}\}$: Because $\underline{\gamma}$ gives strictly lower utility than $\overline{\gamma}$ and all other parameters are the same as in ν^c, this narrative will never be adopted by any citizens in equilibrium.
- $\{\overline{\lambda}, \overline{\psi}, \overline{\gamma}\}$: By condition (10), given $\overline{\psi}$, utility is strictly decreasing in λ. Hence, ν^c is preferred by all citizens to this narrative.
- $\{\overline{\lambda}, \overline{\psi}, \underline{\gamma}\}$: This is dominated by ν^c for both reasons explained above.
- $\{\underline{\lambda}, \underline{\psi}, \overline{\gamma}\}$: Given condition (10), we know that if citizens support this narrative, their party will implement deregulation. Moreover, from the above, we know that the only narrative with $\overline{\psi}$ that can be ever heard is ν^c. The narrative we consider here will always beat ν^c in pairwise comparison, since it matches it but with lower ψ, which always gives higher utility to citizens. Hence, propagating it can never create polarization, but, depending on what other narratives are in σ_t, either not change the policy equilibrium (if no citizens believe ν^c) or create a new consensus on deregulation (if some or all believe ν^c). In the former case, there are no electoral benefits. In the latter case, to create policy convergence the party prefers narrative ν^3 as it gives strictly higher utility to all citizens.

Polarizing Narratives. Having ruled out four narratives, we are left with ν^n, ν^3 and the narrative $\tilde{\nu}^n$ defined previously as $\{\underline{\lambda}, \underline{\psi}, \underline{\gamma}\}$. Out of these, ν^3 is never polarizing as it creates a consensus on deregulation. In turn, ν^n and $\tilde{\nu}^n$ will never be employed to build a new consensus, since for that purpose, ν^3 is strictly better. Hence, ν^n and $\tilde{\nu}^n$ will be employed only if they are polarizing.

Proposition 2 gave conditions under which ν^n is polarizing. Following the same logic, we can give conditions under which $\tilde{\nu}^n$ is polarizing. To do this, we define $\tilde{E}^J$ analogously to E^J (see equation 13), with the exception that we compute the utility difference between $\tilde{\nu}^n$ and ν^c, instead of ν^n and ν^c. As before, positive values of $\tilde{E}^J$ indicate a preference for $\tilde{\nu}^n$, and negative values a preference in favour of ν^c. Analogously to before, we define $\tilde{\Delta} y^J$ and $\tilde{\Delta} G$. We have that $\tilde{\Delta} y^H(x) = 0$, $\tilde{\Delta} y^L(x) = \underline{\lambda}(\overline{\psi} - \underline{\psi})x > 0$, and $\tilde{\Delta} G(x) = (\underline{\gamma} - \overline{\gamma})\bar{\alpha} + x\underline{\lambda}(\underline{\gamma}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}(\mu(1 + \overline{\psi}) - 1))$.

Note that $\tilde{\Delta} y^L(\overline{x}) > \tilde{\Delta} y^L(\underline{x}) > 0 = \tilde{\Delta} y^H(\underline{x})$ and $\tilde{\Delta} G(\overline{x}) > \tilde{\Delta} G(\underline{x})$. Hence, for any given equilibrium $\hat{\nu}^L, \hat{\nu}^H$, $\tilde{E}^L(\hat{\nu}^L, \hat{\nu}^H) > \tilde{E}^H(\hat{\nu}^L, \hat{\nu}^H)$. This means that there are three possible combinations of ν^L, ν^H in equilibrium, as $\nu^L = \nu^c, \nu^H = \tilde{\nu}^n$ cannot occur. It also follows that, for each J, $\tilde{E}^J(x(\tilde{\nu}^n), x(\tilde{\nu}^n)) > \tilde{E}^J(x(\tilde{\nu}^n), x(\nu^c)) > \tilde{E}^J(x(\nu^c), x(\nu^c))$. Putting these together yields the ordering $\tilde{E}^L(x(\tilde{\nu}^n), x(\tilde{\nu}^n)) > \tilde{E}^L(x(\tilde{\nu}^n), x(\nu^c)) > \tilde{E}^H(x(\tilde{\nu}^n), x(\nu^c)) > \tilde{E}^H(x(\nu^c), x(\nu^c))$.

Now, note that comparing $E^L(\overline{x},\overline{x})$ and $\tilde{E}^J(\overline{x},\overline{x})$, we have

$$E^L(\overline{x},\overline{x}) - \tilde{E}^L(\overline{x},\overline{x}) = (\overline{\lambda} - \underline{\lambda})\left(t\underline{\gamma}(1-\mu(1+\underline{\psi})) - (1-t)\underline{\psi}\right) > 0,$$

where the inequality follows from condition (10).

Hence, it follows that $E^L(\overline{x},\overline{x}) > \tilde{E}^L(\overline{x},\overline{x})$, and a fortiori, it follows that $E^L(\overline{x},\overline{x}) > \tilde{E}^L(\overline{x},\underline{x})$.

From Proposition 2, we know that ν^n is polarizing in the region $\alpha \in [\underline{\alpha},\overline{\alpha}]$, where the cut-offs are defined in the proof to the proposition. By equivalent reasoning, $\tilde{\nu}^n$ is polarizing in the region $\alpha \in [\underline{\upsilon},\overline{\upsilon}]$, where $\underline{\upsilon}$ is defined as the α that satisfies $\tilde{E}^H(\overline{x},\underline{x}) = 0$ and $\overline{\upsilon}$ as the one that satisfies $\tilde{E}^L(\overline{x},\underline{x}) = 0$.

Now, define $\tilde{\alpha}^L_{nn}$ as the α that satisfies $\tilde{E}^L(\overline{x},\overline{x}) = 0$, and α^L_{nn} as the one that satisfies $E^L(\overline{x},\overline{x}) = 0$. We know that $\overline{\upsilon} < \tilde{\alpha}^L_{nn} < \alpha^L_{nn} < \overline{\alpha}$, where the final inequality follows from condition (B.1). Hence, in the range between $\tilde{\alpha} \equiv \max\{\underline{\alpha},\overline{\upsilon}\}$ and $\overline{\alpha}$, only ν^n is polarizing.

Equilibria. From the above, it follows that in the range $\alpha > \overline{\alpha}$, there exists no polarizing narrative. This leads to the first result of the proposition.

In the range $\alpha \in [\tilde{\alpha},\overline{\alpha}]$, ν^n is the only polarizing equilibrium, and only high-income citizens adopt it (see Proposition 2). Each party now has three strategies: promoting no narrative, deploying ν^n, or deploying ν^3. If no narrative is deployed, we have convergence on ν^c, and Right's winning probability is $\pi(\nu^c,\nu^c) = 1/2$. If only ν^n is successfully deployed, we have $\nu^H = \nu^n$ and $\nu^L = \nu^c$, and Right's winning probability is $\pi(\nu^n,\nu^c) \equiv \overline{\pi}$ (see equation 18). This can be above or below $\frac{1}{2}$. If ν^3 is successfully deployed, there is convergence on deregulation, and Right's winning probability is $\pi(\nu^3,\nu^3) = 1/2$.

Recall that if a narrative is propagated, it is successfully deployed with probability p, and incurs a cost δ. Depending on whether $\overline{\pi} \lesseqgtr 1/2$, it will be the right or the left party that potentially benefits from ν^n. Let us denote $\Pi = \max\{\overline{\pi}, 1-\overline{\pi}\}$, and the party that benefits (loses) from ν^n by party 1 (2).

We start by analysing optimal strategies in state $\sigma_t = \{\nu^c\}$. Note now for party 1, ν^3 is strictly dominated by ν^n, while for party 2, ν^n is strictly dominated by ν^3. Hence, each party has a pair of pure strategies, $I_1^{\nu^n}(\nu^c) \in \{0,1\}$ and $I_2^{\nu^3}(\nu^c) \in \{0,1\}$. The payoffs are summarised in the payoff matrix in Table 1.

Note that in any equilibrium, party 1 deploys ν^n with positive probability: Since $\delta < p(\Pi - 1/2)$, no party deploying a narrative cannot be an equilibrium. Further, it cannot be an equilibrium that party 1 does not deploy a narrative while party 2 does. Hence, in any equilibrium, party 1 deploys ν^n with positive probability. Party 2 may or may not deploy ν^3 in state $\{\nu^c\}$, as shown in the proof to the next proposition. In state $\{\nu^c,\nu^n\}$, Party 2's payoff from deploying ν^3 relative to not is $p\frac{1}{2} + (1-p)(1-\Pi) - \delta - (1-\Pi) = p(\Pi - 1/2) - \delta$, which is positive.

Table 1: Payoffs in state $\sigma_t = \{\nu^c\}$ and $\alpha \in [\tilde{\alpha}, \overline{\alpha}]$

	$I_2^{\nu^3}(\nu^c) = 0$	$I_2^{\nu^3}(\nu^c) = 1$
$I_1^{\nu^n}(\nu^c) = 0$	$1/2$ $1/2$	$1/2 - \delta$ $1/2$
$I_1^{\nu^n}(\nu^c) = 1$	$1/2 - p(\Pi - 1/2)$ $1/2 + p(\Pi - 1/2) - \delta$	$1/2 - p(1-p)(\Pi - 1/2) - \delta$ $1/2 + p(1-p)(\Pi - 1/2) - \delta$

Hence, the two possible equilibrium paths entail either ν^n becoming available before ν^3, or vice versa.

A.4 Proposition 4

First, to see why the right party would benefit from ν^n under condition (17), note that this condition is equivalent to $\overline{\pi} > 1/2$ (see equation 18).

Second, note that Table 1 from the proof of the previous proposition gives the relevant payoffs, where $\overline{\pi} = \Pi$ given that condition (17) holds. If $\delta < p(1-p)(\overline{\pi} - 1/2)$, ν^n is strictly dominant for the right party. If $\delta > p^2(\overline{\pi} - 1/2)$, deploying no narrative is strictly dominant for the left party.

Suppose first that $\delta < p(1-p)(\overline{\pi} - 1/2)$, which means that the right party will always deploy ν^n. The left party then prefers to deploy ν^3 if $\delta < p^2(\overline{\pi} - 1/2)$ and not to deploy it if $\delta > p^2(\overline{\pi} - 1/2)$.

If instead $\delta > p(1-p)(\overline{\pi} - 1/2)$, then $I_H^{\nu^n}(\nu^c) = 1, I_L^{\nu^3}(\nu^c) = 1$ cannot constitute an equilibrium. If also $\delta > p^2(\overline{\pi} - 1/2)$, then $I_H^{\nu^n}(\nu^c) = 1, I_L^{\nu^3}(\nu^c) = 0$ is the unique equilibrium. Finally, if also $\delta < p^2(\overline{\pi} - 1/2)$, there is a mixed strategy equilibrium. Denoting by q_J the equilibrium probability that party J does not deploy a narrative, we then have that the mixing probabilities must satisfy $q_L = \frac{\delta - p(1-p)(\overline{\pi} - 1/2)}{p^2(\overline{\pi} - 1/2)}$ and $q_H = 1 - \frac{\delta}{p^2(\overline{\pi} - 1/2)}$.

To summarise, we have the following three cases: (1)$I_H^{\nu^n}(\nu^c) = 1, I_L^{\nu^3}(\nu^c) = 0$ is the unique equilibrium if and only if $\delta > p^2(\overline{\pi} - 1/2)$; (2)$I_H^{\nu^n}(\nu^c) = 1, I_L^{\nu^3}(\nu^c) = 1$ is the unique equilibrium if and only if $\delta < \min\{p^2(\overline{\pi} - 1/2), p(1-p)(\overline{\pi} - 1/2)\}$; (3) there exists a unique mixed strategy equilibrium where both parties mix with strategies $q_L \in (0,1)$, $q_H \in (0,1)$ if and only if $p(1-p)(\overline{\pi} - 1/2) < \delta < p^2(\overline{\pi} - 1/2)$. Further, as explained in the proof to the previous proposition, we have that $I_H^{\nu^n}(\nu^c, \nu^3) = 0$ and $I_L^{\nu^3}(\nu^c, \nu^n) = 1$.

B Multiple equilibria

This section discusses more fully the conditions which give rise to the ordering of $E^J(x(\nu^L), x(\nu^H))$ functions shown in Figure 2. It also gives a full account of the multiple and unique equilibria for that particular ordering.

Recall that in equilibrium, $(\nu^L, \nu^H) \in \{(\nu^c, \nu^c), (\nu^c, \nu^n), (\nu^n, \nu^n)\}$; hence, there are three $E^J(x(\nu^L), x(\nu^H))$ functions for each $J \in \{L, H\}$. Under certain conditions, $E^J(x(\nu^L), x(\nu^H))$ satisfies the following monotonicity criterion, which makes characterisation of multiple equilibria easy: all three $E^L(x(\nu^L), x(\nu^H))$ become negative at lower values of α than any of the three $E^H(x(\nu^L), x(\nu^H))$ functions. Intuitively, this implies that higher income individuals have a higher payoff from believing in the neoliberal narrative than lower income individuals, no matter what the believe. The following Lemma gives the condition under which E^J satisfies this type of monotonicity.

Lemma B.1. *E^J satisfies monotonicity if the following inequality holds:*

$$\begin{aligned} &\overline{\lambda}(\underline{x} + \underline{\psi}\overline{x}) - \underline{\lambda}(\underline{x} + \overline{\psi}\overline{x}) \\ &> \frac{t(\overline{x} - \underline{x})}{1-t}\left(\underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1)\right) \end{aligned} \tag{B.1}$$

Proof. From the proof to Proposition 2, we know that the following ordering is satisfied: $E^L(x(\nu^c), x(\nu^c)) < E^L(x(\nu^c), x(\nu^n)) < E^H(x(\nu^c), x(\nu^n)) < E^H(x(\nu^n), x(\nu^n))$. Hence, for monotonicity, we only require that $E^H(x(\nu^c), x(\nu^c))$ becomes negative for higher α than $E^L(x(\nu^n), x(\nu^n))$. In particular, we have that

$$\begin{aligned} &E^H(x(\nu^c), x(\nu^c)) \\ &= (1-t)(\overline{\lambda} - \underline{\lambda})\underline{x} - t(\overline{\gamma} - \underline{\gamma})\alpha + \underline{x}(\underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1); \\ &E^L(x(\nu^n), x(\nu^n)) \\ &= -(1-t)(\underline{\psi}\overline{\lambda} - \overline{\psi}\underline{\lambda})\overline{x} - t(\overline{\gamma} - \underline{\gamma})\alpha + \overline{x}(\underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1) \end{aligned}$$

We define now $\underline{\zeta}$ as the α that satisfies $E^L(x(\nu^n), x(\nu^n)) = 0$ and $\overline{\zeta}$ as the one that satisfies $E^H(x(\nu^c), x(\nu^c)) = 0$. We then have that:

$$\begin{aligned} \underline{\zeta}(\overline{\gamma} - \underline{\gamma})/\overline{x} &= -\frac{1-t}{t}(\underline{\psi}\overline{\lambda} - \overline{\psi}\underline{\lambda}) + \underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi}) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1) \\ \overline{\zeta}(\overline{\gamma} - \underline{\gamma})/\underline{x} &= \frac{1-t}{t}(\overline{\lambda} - \underline{\lambda}) + \underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1) \end{aligned}$$

Based on this, we find that:

$$\overline{\zeta} > \underline{\zeta} \iff$$

$$\frac{1-t}{t}(\overline{\lambda}(\underline{x} + \underline{\psi}\overline{x}) - \underline{\lambda}(\underline{x} + \overline{\psi}\overline{x})) > (\overline{x} - \underline{x})\left(\underline{\gamma}\overline{\lambda}(1 - \mu(1 + \underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1 + \overline{\psi}) - 1)\right)$$

which is the condition given in the Lemma. □

Intuitively, the condition is satisfied whenever $\overline{x}$ is not too large relative to $\underline{x}$, as $E^J(x(\nu^n), x(\nu^n))$ is increasing in $\overline{x}$, and $E^J(x(\nu^c), x(\nu^c))$ is increasing in $\underline{x}$.

Given that condition (B.1) from Lemma B.1 is satisfied, the following proposition characterises the ranges under which there are unique and multiple equilibria:

Proposition B.1. *Suppose that condition (B.1) is satisfied. Then, there are five ranges of α with cut-off values $\underline{\alpha} < \underline{\zeta} < \overline{\zeta} < \overline{\alpha}$ that determine equilibrium beliefs $(\hat{\nu}^L, \hat{\nu}^H)$:*

1. *if $\alpha < \underline{\alpha}$, there is a unique equilibrium with $(\hat{\nu}^L, \hat{\nu}^H) = (\nu^n, \nu^n)$.*
2. *if $\alpha \in [\underline{\alpha}, \underline{\zeta}]$, there are two pure strategy equilibria with $(\hat{\nu}^L, \hat{\nu}^H) \in \{(\nu^n, \nu^n), (\nu^c, \nu^n)\}$.*
3. *if $\alpha \in (\underline{\zeta}, \overline{\zeta})$, there is a unique equilibrium with $(\hat{\nu}^L, \hat{\nu}^H) = (\nu^c, \nu^n)$.*
4. *if $\alpha \in [\overline{\zeta}, \overline{\alpha}]$, there are two pure strategy equilibria with $(\hat{\nu}^L, \hat{\nu}^H) \in \{(\nu^c, \nu^n), (\nu^c, \nu^c)\}$.*
5. *if $\alpha > \overline{\alpha}$, there is a unique equilibrium with $(\hat{\nu}^L, \hat{\nu}^H) = (\nu^c, \nu^c)$.*

Proof. We define $\underline{\alpha}$ and $\overline{\alpha}$ as in the proof to Proposition 2, and $\underline{\zeta}$ and $\overline{\zeta}$ as in the proof to the previous lemma. Given the condition of Lemma B.1 is satisified and building on our analysis from the proof to Proposition 2, we know that $0 < \underline{\alpha} < \underline{\psi} < \overline{\psi} < \overline{\alpha}$.

Note first that for $\alpha < \underline{\alpha}$ (the first range in the Proposition), all E^H functions are positive, and hence it must be that $\hat{\nu}^H = \nu^n$, and hence the two equilibria possibilities are (ν^c, ν^n) and (ν^n, ν^n). By definition of $\underline{\alpha}$, for $\alpha < \underline{\alpha}$, $E^L(x(\nu^c), x(\nu^n))$ is positive, and a fortiori, $E^L(x(\nu^n), x(\nu^n))$ is positive. Hence, the unique equilibrium is (ν^n, ν^n). Equivalent reasoning shows that for $\alpha > \overline{\alpha}$, the unique equilibrium is (ν^c, ν^c).

For $\alpha \in (\underline{\zeta}, \overline{\zeta})$, by definition of $\underline{\zeta}$ and $\overline{\zeta}$, all E^H functions are positive and all E^L functions are negative. Hence, the unique equilibrium is (ν^c, ν^n).

For $\alpha \in [\underline{\alpha}, \underline{\zeta}]$, all E^H functions are negative and hence $\hat{\nu}^H = \nu^n$. The two possible equilibria are then (ν^c, ν^n) and (ν^n, ν^n). In this range of α, $E^L(x(\nu^c), x(\nu^n)) < 0$ and $E^L(x(\nu^n), x(\nu^n)) > 0$, and hence (ν^c, ν^n) and (ν^n, ν^n) are equilibria. Equivalent reasoning shows that for $\alpha \in [\overline{\zeta}, \overline{\alpha}]$, (ν^c, ν^n) and (ν^c, ν^c) are equilibria. □

Proposition B.1 makes it explicit that there are multiple equilibria in two ranges: $\alpha \in [\underline{\alpha}, \underline{\zeta}]$ or $\alpha \in [\overline{\zeta}, \overline{\alpha}]$. In each case, the results are driven by higher-order beliefs about what narratives other people of an income group believe in. As an example, take the lower range in which multiple equilibria arise, $\alpha \in [\underline{\alpha}, \underline{\zeta}]$. In

this lower range of α, high-income types always believe in the neoliberal narrative, while lower-income types can believe in either narrative. In particular, for lower-income types, it pays off to believe in the neoliberal narrative if and only if they think that others of their own income type do as well. If other low-income individuals believe in the neoliberal narrative, they know that the equilibrium policy will be deregulation, in which case it pays off for them to adopt the neoliberal narrative. In contrast, if other low-income individuals believe in the post-war consensus narrative, then regulation will occur whenever the left party wins. For this range of α, it would be then optimal for low-income individuals to adopt the post-war consensus narrative.

If condition (B.1) does not hold, there still exist ranges of α with unique and multiple equilibria, but the details of these will differ. For instance, there will not exist a range of α with a unique polarized equilibrium, but there will exist ranges of α where either of the three pure-strategy equilibria will arise. Note, however, that the results from Proposition 2 in the main text hold regardless of condition (B.1).

S Supplemental Appendix

Tax Polarization

So far, we have assumed that tax rates are fixed with $\underline{t} = \overline{t} = t$ in order to focus on the implications of narratives for regulation. However, debates around competing narratives often have implications for taxation with neoliberalism frequently being associated with a plea for lower taxes. *Prima facie*, this makes sense in our framework given that low γ is part of the neoliberal narrative. A complete treatment would require exploring all possible policy combinations including policy divergence on taxes even when there is a consensus on narratives. To avoid being overly taxonomic, we home in on perhaps the most interesting case where those who subscribe to neoliberalism believe in the merits of low taxes and deregulation, with the opposite being true for those who subscribe to the post-war consensus.

To bring this into the model, we allow parties to choose both taxes $t \in [\underline{t}, \overline{t}]$ and deregulation $x \in [\underline{x}, \overline{x}]$. While endogenous taxation does add complications, the thrust of the results discussed in Proposition 2 remain when we allow neoliberal narratives to support tax cuts. Specifically, with high α, there is no scope for neoliberalism, while with intermediate α, neoliberalism creates policy polarization over two dimensions, taxes and regulation.

For this purpose, we assume that condition (10) now holds for $t \in [\underline{t}, \overline{t}]$, associating neoliberalism (the post-war consensus) with a preference for deregulation (regulation). The assumption needed to extend this to tax preferences is:

$$\begin{aligned} \overline{\gamma} &\geq \frac{\alpha^H + \underline{\lambda}\overline{x}}{\alpha - \underline{\lambda}\overline{x}(\mu(1+\overline{\psi}) - 1)} \\ &\text{and} \\ \underline{\gamma} &\leq \frac{\alpha^L - \underline{\psi}\overline{\lambda}\overline{x}}{\alpha + \overline{\lambda}\overline{x}(1 - \mu(1+\underline{\psi}))} \end{aligned} \tag{S.1}$$

This makes intuitive sense as we need $\overline{\gamma}$ ($\underline{\gamma}$) to be be high (low) enough for the high (low) income party to prefer high (low) taxes with the post-war consensus (neoliberalism). Hence, if (S.1), then $\hat{t}_L(\nu^n) = \hat{t}_H(\nu^n) = \underline{t}$ ($\hat{t}_L(\nu^c) = \hat{t}_H(\nu^c) = \overline{t}$).

Thus, when (10) and (S.1) both hold, we can focus on situations where neoliberalism and the post-war consensus are associated with specific policy outcomes.

Compared to the case of fixed taxes, endogenising taxes leads to two complications. The first one is that the additional assumption (S.1) is a function of α, which was not the case for assumption (10). Hence, changing α not only changes equilibrium narratives policies, as it did in Proposition 2, but also potentially invalidates the assumptions necessary for the analysis. We will thus have to impose

that assumption S.1 holds for the relevant range of α considered in the proposition, which we did not need to do for Proposition 2 since the relevant assumptions there did not depend on α.

The second complication arises because neoliberalism now leads to a lower tax rate. This means that the perceived gain from believing in the neoliberal narrative captured by E^J is now additionally influenced by whether taxes are higher or lower. Since taxes are lower with neoliberalism, it means that the neoliberal trickle-down benefit through public goods is now lower than it would be if taxes were fixed. This effect diminishes the benefit of believing in the neoliberal narrative when others do, influencing the ordering of the E^J functions. In particular, for lower-income citizens this means that the E^L function may now fail to satisfy the assumption that the payoffs of believing in the neoliberal narrative turns positive for higher α when others believe in it, an assumption that was automatically satisfied with exogenous taxes. The following Lemma provides a condition under which this is satisfied and the ordering of E^J functions is preserved.

Lemma S.1. *The ordering of E^J functions is preserved relative to the case of shared taxes if the following condition holds:*

$$\begin{aligned}&(\overline{x}-\underline{x})\left(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi}))+\overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1)\right)\\&>\left(\overline{x}(1-\underline{t})/\underline{t}-\underline{x}(1-\overline{t})/\overline{t}\right)\left(\overline{\lambda}\underline{\psi}-\underline{\lambda}\overline{\psi}\right)\end{aligned}\tag{S.2}$$

Proof. E^J functions are now a function of taxes and and regulation and given by:

$$\begin{aligned}&E^J\left(x(\nu^L),x(\nu^H),t(\nu^L),t(\nu^H)\right)\\&=\pi\left(\nu^L,\nu^H\right)\left[(1-t_H(\nu^H))\Delta y^J\left(\hat{x}_H\left(\nu^H\right)\right)+t_H(\nu^H)\Delta G\left(\hat{x}_H\left(\nu^H\right)\right)\right]\\&+\left[1-\pi\left(\nu^L,\nu^H\right)\right]\left[(1-t_L(\nu^L))\Delta y^J\left(\hat{x}_L\left(\nu^L\right)\right)+t_L(\nu^L)\Delta G\left(\hat{x}_L\left(\nu^L\right)\right)\right]\end{aligned}$$

Note that they are still downwards sloping in α through ΔG.

We start with the observation that the payoff in believing in the neoliberal narrative is still higher for high-income than low-income people, for any ν^L,ν^H: as before, since $\overline{\lambda}\underline{\psi}>\underline{\lambda}\overline{\psi}$ we have that $\Delta y^L<0<\Delta y^H$. Hence, we have that $E^H(x(\nu^L),x(\nu^H),t(\nu^L),t(\nu^H))>E^L(x(\nu^L),x(\nu^H),t(\nu^L),t(\nu^H))$.

For the remaining ordering, we first show that $E^H(x(\nu^n),x(\nu^n))$ becomes 0 for higher α than $E^H(x(\nu^c),x(\nu^c))$:

$$\begin{aligned}E^H(x(\nu^c),x(\nu^c),t(\nu^c),t(\nu^c))=0&\iff\\(\overline{\gamma}-\underline{\gamma})\alpha=\underline{x}/\overline{t}((1-\overline{t})(\overline{\lambda}-\underline{\lambda})+\overline{t}(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi}))+\overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1))&\\E^L(x(\nu^n),x(\nu^n))=0&\iff\\(\overline{\gamma}-\underline{\gamma})\alpha=\overline{x}/\underline{t}((1-\underline{t})(\overline{\lambda}-\underline{\lambda})+\underline{t}(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi}))+\overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1))&\end{aligned}$$

Taking the difference between the forth and second line, we get:

$$\left(\frac{\overline{x}(1-\underline{t})}{\underline{t}} - \frac{\underline{x}(1-\overline{t})}{\overline{t}}\right)(\overline{\lambda}-\underline{\lambda}) + (\overline{x}-\underline{x})(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1))$$

which is positive since every term is positive.

Finally, for E^L, we have the following:

$$\begin{aligned} E^L(x(\nu^c), x(\nu^c), t(\nu^c), t(\nu^c)) = 0 \iff \\ (\overline{\gamma}-\underline{\gamma})\alpha = \underline{x}/\overline{t}(-(1-\overline{t})(\overline{\lambda}\underline{\psi}-\underline{\lambda}\overline{\psi}) + \overline{t}(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1)) \\ E^L(x(\nu^n), x(\nu^n)) = 0 \iff \\ (\overline{\gamma}-\underline{\gamma})\alpha = \overline{x}/\underline{t}(-(1-\underline{t})(\overline{\lambda}\underline{\psi}-\underline{\lambda}\overline{\psi}) + \underline{t}(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1)) \end{aligned}$$

Taking the difference between the fourth and the second line, we receive the following:

$$\left(\frac{\overline{x}(1-\underline{t})}{\underline{t}} - \frac{\underline{x}(1-\overline{t})}{\overline{t}}\right)(\underline{\lambda}\overline{\psi}-\overline{\lambda}\underline{\psi}) + (\overline{x}-\underline{x})(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1))$$

The inequality of the Lemma describes the case when this difference is positive. If that holds, then $E^L(x(\nu^c), x(\nu^c), t(\nu^c), t(\nu^c)$ becomes 0 for lower α than $E^H(x(\nu^n), x(\nu^n), t(\nu^n), t(\nu^n)$.

From all of the above, it follows that when condition S.2 holds, then:

$$\begin{aligned} E^L(x(\nu^c), x(\nu^c), t(\nu^c), t(\nu^c)) < E^L(x(\nu^c), x(\nu^n), t(\nu^c), t(\nu^n)) \\ < E^H(x(\nu^c), x(\nu^n), t(\nu^c), t(\nu^n)) < E^H(x(\nu^n), x(\nu^n), t(\nu^n), t(\nu^n)), \end{aligned}$$

as required. □

Note that the left-hand side of condition (S.2) is positive, so this is satisfied if the right-hand side is small enough, i.e. $\overline{\lambda}\underline{\psi} - \underline{\lambda}\overline{\psi}$ close to zero.

Assuming that condition (S.2) is satisfied, we can now characterise the equivalent of Proposition 2 for the case of endogenous taxes.

Proposition S.1. *Assume that condition S.2 holds, and that condition S.1 is satisfied for the range of α considered. Then, there are three ranges of α with cut-off values $\underline{\alpha}' < \overline{\alpha}'$ with the same properties as in Proposition 2, except that neoliberalism now comes with a tax cut. Specifically:*

1. *if and only if $\alpha \in (\underline{\alpha}', \overline{\alpha}')$, there exists an equilibrium with narrative and policy divergence where the high (low) income citizens believe in the neoliberal narrative (post-war consensus narrative), and the high (low) income party delivers deregulation (regulation) and low taxes (high taxes) if elected;*

2. *if $\alpha \leq \underline{\alpha}'$ there exists an equilibrium with full consensus on the neoliberal narrative, with deregulation and low taxes;*

3. *if $\alpha \geq \overline{\alpha}'$, there exists an equilibrium with full consensus on the post-war consensus narrative, with regulation and high taxes.*

Proof. Define $\underline{\alpha}'$ and $\overline{\alpha}'$ analogously to $\underline{\alpha}$ and $\overline{\alpha}$ for the case of exogenous taxes in Proposition 2. If S.2 and S.1 hold, then $t_J(\nu^c) = \overline{t}$ and $x_J(\nu^c) = \underline{x}$, while $t_J(\nu^n) = \underline{t}$ and $x_J(\nu^n) = \overline{x}$. The proof is then analogous to that of Proposition 2, with the exception that taxes are a function of narratives. □

The logic is the same as for Proposition 2, with the complication that some additional assumptions need to be satisfied for the analysis. In particular, it is a strong assumption to impose S.1 for all α considered while simultaneously describing equilibria as a function of α. It is necessary to find parameter combinations such that the relevant assumptions are in fact satisfied for a relevant range of α. This is what the next Proposition does, extending Proposition 2 to show under which conditions neoliberalism can lead to tax cuts: .

Proposition S.2. *For high enough $\overline{\gamma}$ and low enough $\underline{\lambda}, \underline{\psi}, \underline{\gamma}$, there are three ranges of α, parallel to Proposition 2, with a consensus on neoliberalism (the post-war consensus) when α is low (high), and a middle range of α with narrative divergence. In all cases, the neoliberal (post-war consensus) narrative is associated with a preference for deregulation (regulation) and low (high) taxes.*

Proof. We look at equilibria where narratives lead to a consensus in both tax policies and regulation. We do the analysis in three steps. First, we specify the conditions required so that for each party $J \in \{L, H\}$,$x_J(\nu^n) = \overline{x}$, $x_J(\nu^c) = \underline{x}$ $t_J(\nu^n) = \underline{t}$ and $t_J(\nu^c) = \overline{t}$. Second, we specify the condition under which the ordering of E^J functions is preserved in this case, relative to Proposition 2. Third, we show that all relevant conditions can be simultaneously satisfied for the relevant range of α when $\overline{\gamma}$ is high enough and $\underline{\lambda}, \underline{\psi}, \underline{\gamma}$ are low enough.

Tax and deregulation implied by narratives. We start by finding conditions such that belief in ν^n (ν^c) induces each party to support low taxes and deregulation (high taxes and regulation). For this purpose we consider the derivatives $\frac{\partial u^J(x,t,\nu)}{\partial x}$ and $\frac{\partial u^J(x,t,\nu)}{\partial t}$ for each $J \in \{L, H\}$.

Note that the derivative in x is strictly larger for party H, and the derivative in t is strictly larger for party L. Hence, if party H (L) prefers higher t and lower x under ν^c (lower t and higher x under ν^n), the other party must prefer it as well. It follows that the binding conditions are on party H for ν^c and on party L for ν^n. Note further that $\frac{\partial^2 u^H(x,t,\nu^c)}{\partial x \partial t} = \underline{\lambda}(\overline{\gamma}(1 - \mu(1 + \overline{\psi})) - 1) < 0$ and

$\frac{\partial^2 u^L(x,t,\nu^n)}{\partial x \partial t} = \overline{\lambda}(\underline{\gamma}(1-\mu(1+\underline{\psi}))+\underline{\psi}) > 0$. Hence, for monotonicity across the domain, we require:

$$\frac{\partial u^H(x,\underline{t},\nu^c)}{\partial x} \leq 0 \iff \underline{\lambda}\left((1-\underline{t}) - \overline{\gamma}\underline{t}(\mu(1+\overline{\psi})-1)\right) \leq 0 \tag{S.3}$$

$$\frac{\partial u^L(x,\underline{t},\nu^n)}{\partial x} \geq 0 \iff \overline{\lambda}\left(\underline{\gamma}\underline{t}(1-\mu(1+\underline{\psi})) - (1-\underline{t})\underline{\psi}\right) \geq 0 \tag{S.4}$$

$$\frac{\partial u^H(\overline{x},t,\nu^c)}{\partial t} \geq 0 \iff \overline{\gamma}\alpha - \overline{\gamma}\underline{\lambda}((\mu(1+\overline{\psi})-1)\overline{x} - (\alpha^H + \underline{\lambda}\overline{x}) \geq 0 \tag{S.5}$$

$$\frac{\partial u^L(\overline{x},t,\nu^n)}{\partial t} \leq 0 \iff \underline{\gamma}\alpha + \underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi}))\overline{x} - (\alpha^L - \underline{\psi}\overline{\lambda}\overline{x}) \leq 0 \tag{S.6}$$

Conditions S.3 and S.4 are satisfied for high enough $\overline{\gamma}$ and low enough $\underline{\psi}$, respectively. For any given α, condition S.5-S.6 are also satisfied for high enough $\overline{\gamma}$ and low enough $\underline{\gamma}$, respectively. For our analysis, we will find an α such that they are also satisfied in the relevant range.

Ordering of E^J functions. With endogenous taxes, the shape of E^J functions changes, as they become functions of both regulation policies and tax policies. Lemma S.1 in the Appendix gives conditions under which the same ordering as for Proposition 2 is preserved. In particular, the lemma shows that the following condition needs to be satisfied:

$$\begin{aligned}&(\overline{x}-\underline{x})\left(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1)\right)\\ &> \left(\overline{x}(1-\underline{t})/\underline{t} - \underline{x}(1-\overline{t})/\overline{t}\right)\left(\overline{\lambda}\underline{\psi} - \underline{\lambda}\overline{\psi}\right)\end{aligned} \tag{S.7}$$

which is satisfied for high enough $\overline{\gamma}$ or low enough $\underline{\psi}$.

Checking assumptions for the relevant range. Analogously to cut-offs in Proposition 2, we define $\underline{\alpha}'$ as the α that satisfies $E^L(x(\nu^c), x(\nu^n), t(\nu^c), t(\nu^n)) = 0$, and $\overline{\alpha}'$ as the α that satisfies $E^H(x(\nu^c), x(\nu^n), t(\nu^c), t(\nu^n)) = 0$.

Lemma S.1 shows that $\underline{\alpha}' < \overline{\alpha}'$. Moreover, it shows that if condition S.7 holds, then both these cutoffs lie above $\tilde{\alpha}'$ which is defined as the α that satisfies $E^L(x(\nu^c), x(\nu^c), t(\nu^c), t(\nu^c)) = 0$. By definition:

$$\tilde{\alpha}' = \frac{\underline{x}}{\overline{t}(\overline{\gamma}-\underline{\gamma})}(-(1-\overline{t})(\overline{\lambda}\underline{\psi} - \underline{\lambda}\overline{\psi}) + \overline{t}(\underline{\gamma}\overline{\lambda}(1-\mu(1+\underline{\psi})) + \overline{\gamma}\underline{\lambda}(\mu(1+\overline{\psi})-1))$$

Proposition S.1 in the Appendix shows that cutoffs $\underline{\alpha}'$ and $\overline{\alpha}'$ determine equilibria just as in Proposition 2, as long as conditions (S.3)-(S.7) hold in the range that includes these cutoffs. We will now find conditions under which conditions (S.3)-(S.7) hold at $\tilde{\alpha}'$ as well as at values above, including $\underline{\alpha}'$ and $\overline{\alpha}'$.

First, note that conditions (S.3),(S.4) and (S.7) are independent of α. They are satisfied as long as $\overline{\gamma}$ is high enough and $\underline{\psi}$ is low enough.

For conditions (S.5) and (S.6), we first note that when $\overline{\gamma} > 1$ and $\underline{\gamma} < 1$, if these conditions are satisfied for some α^L and α^H, they will be satisfied for all higher $\alpha^L + k$, $\alpha^H + k$ with $k > 0$, too.[19] Hence, it is sufficient to show that the conditions can be satisfied for $\tilde{\alpha}'$, as the relevant cut-offs $\underline{\alpha}'$ and $\overline{\alpha}'$ lie above it.

To find combinations of parameters that satisfy all five conditions, we first note that when $\underline{\psi} = 0$ and $\underline{\lambda} = 0$, the five conditions become:

$$0\left((1-\underline{t}) - \overline{\gamma}\underline{t}(\mu(1+\overline{\psi}) - 1)\right) \leq 0 \qquad \text{(A.1 limit)}$$

$$\overline{\lambda}\left(\underline{\gamma}\underline{t}(1-\mu)\right) \geq 0 \qquad \text{(A.2 limit)}$$

$$\overline{\gamma}\alpha - \alpha^H \geq 0 \qquad \text{(A.3 limit)}$$

$$\underline{\gamma}\alpha + \underline{\gamma}\overline{\lambda}(1-\mu)\overline{x} - (\alpha^L) \leq 0 \qquad \text{(A.4 limit)}$$

$$(\overline{x} - \underline{x})\left(\underline{\gamma}\overline{\lambda}(1-\mu)\right) \geq 0 \qquad \text{(A.5 limit)}$$

Note that Assumptions (A.1 limit), (A.2 limit) and (A.5 limit) are now (weakly) satisfied for all parameter values. Assumption (A.3 limit) is satisfied for $\overline{\gamma} \geq \frac{1}{1-\mu}$, for any α.

Finally, we need to make sure that (A.4 limit) is satisfied in the relevant range, i. e. at and above $\tilde{\alpha}'$. With $\underline{\psi} = 0$ and $\underline{\lambda} = 0$ we have that $\tilde{\alpha}'$ becomes $\frac{\underline{x}}{(\overline{\gamma}-\underline{\gamma})}\underline{\gamma}\overline{\lambda}(1-\mu)$.[20] Plugging this in for condition S.6, we then require that

$$\underline{\gamma}\left(\frac{\underline{\gamma}\underline{x}}{\overline{\gamma}-\underline{\gamma}}\overline{\lambda}(1-\mu) + \overline{\lambda}(1-\mu)\overline{x}\right) \leq \tilde{\alpha}^L$$

where $\tilde{\alpha}' = \mu\tilde{\alpha}^L + (1-\mu)\tilde{\alpha}^H$.[21]

Since the left-hand side is decreasing in $\underline{\gamma}$, this will be satisfied for low enough $\underline{\gamma}$. Hence, when $\underline{\gamma}$ is low enough to satisfy the above condition, $\underline{\psi} = \underline{\lambda} = 0$, and $\overline{\gamma} \geq \frac{1}{1-\mu}$, all five conditions are satisfied at the cut-off $\tilde{\alpha}$ as well as at higher $\underline{\alpha}'$ and $\overline{\alpha}'$.

□

This result shows that the logic of the model holds over a two-dimensional policy choice where a belief in neoliberalism now comes with low taxes and deregulation. Intuitively, this is because the low $\underline{\gamma}$ associated with the neoliberal narrative implies that public goods provision is inefficient, favouring low taxes. Hence, the

[19] Increasing both α^L and α^H by k in condition (S.5) increases the LHS by $k(\overline{\gamma} - 1)$, and decreases the LHS in condition (S.6) by $k(1 - \underline{\gamma})$.

[20] Note also that $\underline{\alpha}'$ will lie strictly between $\frac{\underline{x}}{(\overline{\gamma}-\underline{\gamma})}\underline{\gamma}\overline{\lambda}(1-\mu)$ and $\frac{\overline{x}}{(\overline{\gamma}-\underline{\gamma})}\underline{\gamma}\overline{\lambda}(1-\mu)$, which is above $\tilde{\alpha}'$. At the same $\overline{\alpha}'$ will lie strictly between $\frac{\underline{x}}{\overline{t}(\overline{\gamma}-\underline{\gamma})}((1-\overline{t})\overline{\lambda} + \overline{t}\underline{\gamma}\overline{\lambda}(1-\mu))$ and $\frac{\overline{x}}{\underline{t}(\overline{\gamma}-\underline{\gamma})}((1-\underline{t})\overline{\lambda} + \underline{t}\underline{\gamma}\overline{\lambda}(1-\mu))$, strictly above $\underline{\alpha}'$.

[21] Using $\alpha = \mu\alpha^L + (1-\mu)\alpha^H$, we can rewrite the condition as $(\overline{\gamma}(1-\mu) - 1)\alpha^H + \mu\alpha^L \geq 0$.

same broad conclusions can be drawn with endogenous taxes as in Proposition 2. Specifically, divergence in equilibrium narratives and policies, which now include both taxation and regulation, occur for intermediate values of α. This is a key takeaway from the model of endogenous narratives, and plays a particular role in the dynamic analysis in section 4 of the main text.

Alternative trickle-down effects

At the core of our analysis lies a "predistributive" policy x that we have referred to as regulation, which increases the private income of the rich while decreasing that of the poor. Despite this divergence in effects of x on income, our model gives rise to situations where citizens of both income groups converge on narratives that support high or low x, depending on parameter values and the state of the economy as represented by α. Given that x directly reduces the incomes of low-income citizens, they will only adopt a subjective causal model associated with high x if there is an offsetting benefit. Thus, a trickle-down mechanism that compensates the poor for the direct loss in income is essential to reach a consensus on a neoliberal narrative that favours high x. Similarly, any model that allows for a consensus on narratives in support of low x will require a mechanism that compensates high-income voters for the loss of income associated with regulation.

The trickle-down mechanism we have proposed in our model runs through the provision of public goods and generates a feedback effect from the aggregate economy to the payoffs of citizens in either income group. In particular, this trickle-down effect encourages the poor to adopt neoliberal narratives if the loss to private incomes from high x is low compared to the gain in public output, which happens when α is low. Similarly, it discourages high-income citizens from adopting neoliberal narratives when the public good loss of x is too high, which happens for high α.

Our model highlights the importance of neoliberal scepticism towards state effectiveness in shaping equilibria. If the public sector is wasteful and inefficient, then collective gains from higher incomes are squandered if they are taxed away by the state. This generates a trade-off between private and public returns to deregulation which fuels support for neoliberal narratives.

There are other ways to generate a trickle-down mechanism that can also create a similar trade-off. For the state of the economy, represented by α, to affect the attractiveness of neoliberalism, there would need to be a role for the aggregate effects of deregulation to matter so that low-income (high-income) citizens might be convinced to support high (low) x.

One way to model this is to think of post-war consensus or neoliberalism as reflecting views about collectivism or individualism. Neoliberal narratives then focus on self-interested benefits when forming policy preferences while the post-war

consensus stresses societal benefits. A simple way to capture this idea, without appealing to provision of public goods, is to define a new parameter, $\tilde{\gamma}$, that parameterizes collectivism when it multiplies the *average* societal utility in citizens' payoffs. As a causal parameter, it tries to convince citizens that increasing average utility leads to higher payoffs to both groups of citizens. A higher value of $\tilde{\gamma}$ now represents a more collectivist worldview, while a lower $\tilde{\gamma}$ is a stronger form of individualism. If we leave all other aspects of the model as above, private incomes are still given by equation (1) and the role of parameters λ and ψ are unaltered with deregulation x still lowering the private incomes of the poor while increasing those of the rich.

The utility of an individual from income group K with narratives $(\psi, \lambda, \tilde{\gamma})$ is then given by:

$$u^K(t, x; \psi, \lambda, \gamma) = y^K(x; \psi, \lambda) + \tilde{\gamma} Y(x; \psi, \lambda). \tag{S.8}$$

Comparing this with equation (2) of the original model, we see that utility is the same, except that $\tilde{\gamma}$ replaces γ, private income y^K is not multiplied by $(1-t)$ while aggregate income Y is no longer multiplied by t. It should be clear that the two interpretations of the difference between the post-war consensus and neoliberalism are now formally very similar; indeed, they are exactly equivalent when $t = 1 - t = 0.5$. Thus, all of our previous propositions would go through under this alternative formulation of the trickle-down effect.

This offers an alternative interpretation of neoliberal narratives and their adoption. Even without disagreement on government efficiency, the post-war consensus narrative ν^c and neoliberalism ν^n offer alternative views about the importance of social solidarity as represented by $\tilde{\gamma}$, where the former embraces a collectivist and the latter an individualistic approach. This confirms the view that World War II and its narrative of collective sacrifice helped to build the post-war consensus but that this fell apart during the economic turbulence of the 1970s. Specifically, this version of events says that high-income citizens were willing to subscribe to the post-war consensus as long as α was high enough, because they valued high collective utility. However, once α fell below $\overline{\alpha}$ (see Proposition 2), this broke the consensus with high-income citizens drawn to the individualism implicit in neoliberal narratives that encouraged them to focus on their individual payoffs, and support a high x. If α falls below $\underline{\alpha}$, the benefits of high x to higher-income people even convince those of lower incomes to adopt neoliberal narratives to share in the higher aggregate economic payoffs generated by high x.